Coolfont Mountainside Association, Inc.

Inspected on: March 28, 2025 • Revised on: August 12, 2025

Berkeley Springs, WV

RESERVE STUDY

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Corporate Office
Reserve Advisors, LLC
735 N. Water Street, Suite 175
Milwaukee, WI 53202

Coolfont Mountainside Association, Inc.
Berkeley Springs, West Virginia

Dear Board of Directors of Coolfont Mountainside Association, Inc.:

At the direction of the Board that recognizes the need for proper reserve planning, we have conducted a *Reserve Study* of Coolfont Mountainside Association, Inc. in Berkeley Springs, West Virginia and submit our findings in this report. The effective date of this study is the date of our visual, noninvasive inspection, March 28, 2025.

This *Reserve Study exceeds* the Association of Professional Reserve Analysts (APRA) standards fulfilling the requirements of a "Level II Reserve Study Update."

An ongoing review by the Board and an Update of this Reserve Study are necessary to ensure an equitable funding plan since a Reserve Study is a snapshot in time. We recommend the Board budget for an Update to this Reserve Study in two- to three-years. We look forward to continuing to help Coolfont Mountainside Association, Inc. plan for a successful future.

As part of our long-term thinking and everyday commitment to our clients, we are available to answer any questions you may have regarding this study.

Respectfully submitted on August 12, 2025 by

Reserve Advisors, LLC

Visual Inspection and Report by: Benjamin G. Guggeis
Review by: Nicholas R. Julia, RS[1], Regional Engineering Manager
Alan M. Ebert, RS, PRA[2], Director of Quality Assurance

1 RS (Reserve Specialist) is the reserve provider professional designation of the Community Associations Institute (CAI) representing America's more than 300,000 condominium, cooperative and homeowners associations.
2 PRA (Professional Reserve Analyst) is the professional designation of the Association of Professional Reserve Analysts. Learn more about APRA at http://www.apra-usa.com.

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1. RESERVE STUDY EXECUTIVE SUMMARY

Client: Coolfont Mountainside Association, Inc. (Coolfont)
Location: Berkeley Springs, West Virginia
Reference: 191408

Property Basics: Coolfont Mountainside Association, Inc. is a planned unit development which is responsible for the common elements shared by 146 lots. 121 lots represent small vacation and permanent residences, and the remaining are vacant lots. The community was built from 1968 to the early 1990's. The barn predates the community; the pool was constructed in 1984; and the office building was constructed between 2001 and 2002.

Reserve Components Identified: 45 Reserve Components.

Inspection Date: March 28, 2025. We conducted the original inspection on June 27, 2020.

Funding Goal: The Funding Goal of this Reserve Study is to maintain reserves above an adequate, not excessive threshold during one or more years of significant expenditures. Our recommended Funding Plan recognizes these threshold funding years in 2028 due to the replacement of the tennis and basketball court surface, stairs and fence, and in 2055 due to the replacement of the pool structure and deck.

Methodology: We use the Cash Flow Method to compute the Reserve Funding Plan. This method offsets future variable Reserve Expenditures with existing and future stable levels of reserve funding. Our application of this method also considers:

- Current and future local costs of replacement
- 2.7% anticipated annual rate of return on invested reserves
- 3.0% future Inflation Rate for estimating Future Replacement Costs

Sources for *Local* Costs of Replacement: Our proprietary database, historical costs and published sources, i.e., R.S. Means, Incorporated.

Unaudited Cash Status of Reserve Fund:

- $326,491 as of December 31, 2024
- 2025 budgeted Reserve Contributions of $95,160

Project Prioritization: We note anticipated Reserve Expenditures for the next 30 years in the ***Reserve Expenditures*** tables and include a ***Five-Year Outlook*** table following the ***Reserve Funding Plan*** in Section 3. We recommend the Association prioritize the following projects in the next five years based on the conditions identified:

- Demolition of the barn
- Regrading and replenishment of the gravel roads
- Partial repaving of the asphalt streets
- Replacement of the pool tile and plaster
- Replacement of the pool cover
- Replacement of the tennis and basketball courts surface and fence
- Replacement of the office roof assembly

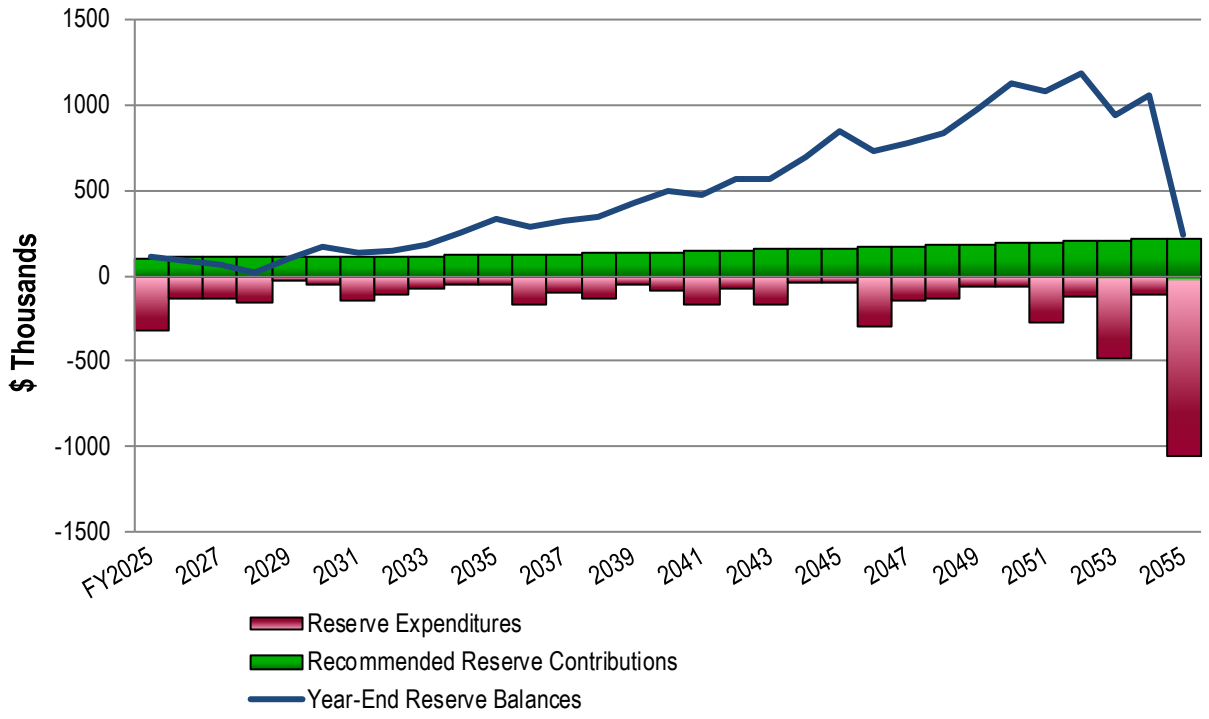
Recommended Reserve Funding: We recommend the following in order to achieve a stable and equitable Cash Flow Methodology Funding Plan:

- Increase Reserve Contributions to $110,500 in 2026
- Stable contributions of $110,500 from 2026 through 2032
- Inflationary increases from 2033 through 2055, the limit of this study's Cash Flow Analysis
- Initial adjustment in Reserve Contributions of $15,340 represents an average monthly increase of $8.76 per owner and about a six percent (6.1%) adjustment in the 2025 Total Budget of $252,000.

Coolfont

Recommended Reserve Funding Table and Graph

Year	Reserve Contributions ($)	Reserve Balances ($)	Year	Reserve Contributions ($)	Reserve Balances ($)	Year	Reserve Contributions ($)	Reserve Balances ($)
2026	110,500	92,933	2036	124,300	288,531	2046	167,100	734,387
2027	110,500	69,536	2037	128,000	327,037	2047	172,100	775,456
2028	110,500	18,812	2038	131,800	338,872	2048	177,300	836,731
2029	110,500	101,767	2039	135,800	428,014	2049	182,600	974,546
2030	110,500	168,922	2040	139,900	495,304	2050	188,100	1,124,654
2031	110,500	136,019	2041	144,100	478,261	2051	193,700	1,074,494
2032	110,500	144,860	2042	148,400	560,668	2052	199,500	1,187,056
2033	113,800	182,363	2043	152,900	565,423	2053	205,500	934,354
2034	117,200	254,298	2044	157,500	700,330	2054	211,700	1,061,170
2035	120,700	328,112	2045	162,200	842,442	2055	218,100	237,801



2. RESERVE STUDY REPORT

At the direction of the Board that recognizes the need for proper reserve planning, we have conducted a *Reserve Study* of

Coolfont Mountainside Association, Inc.

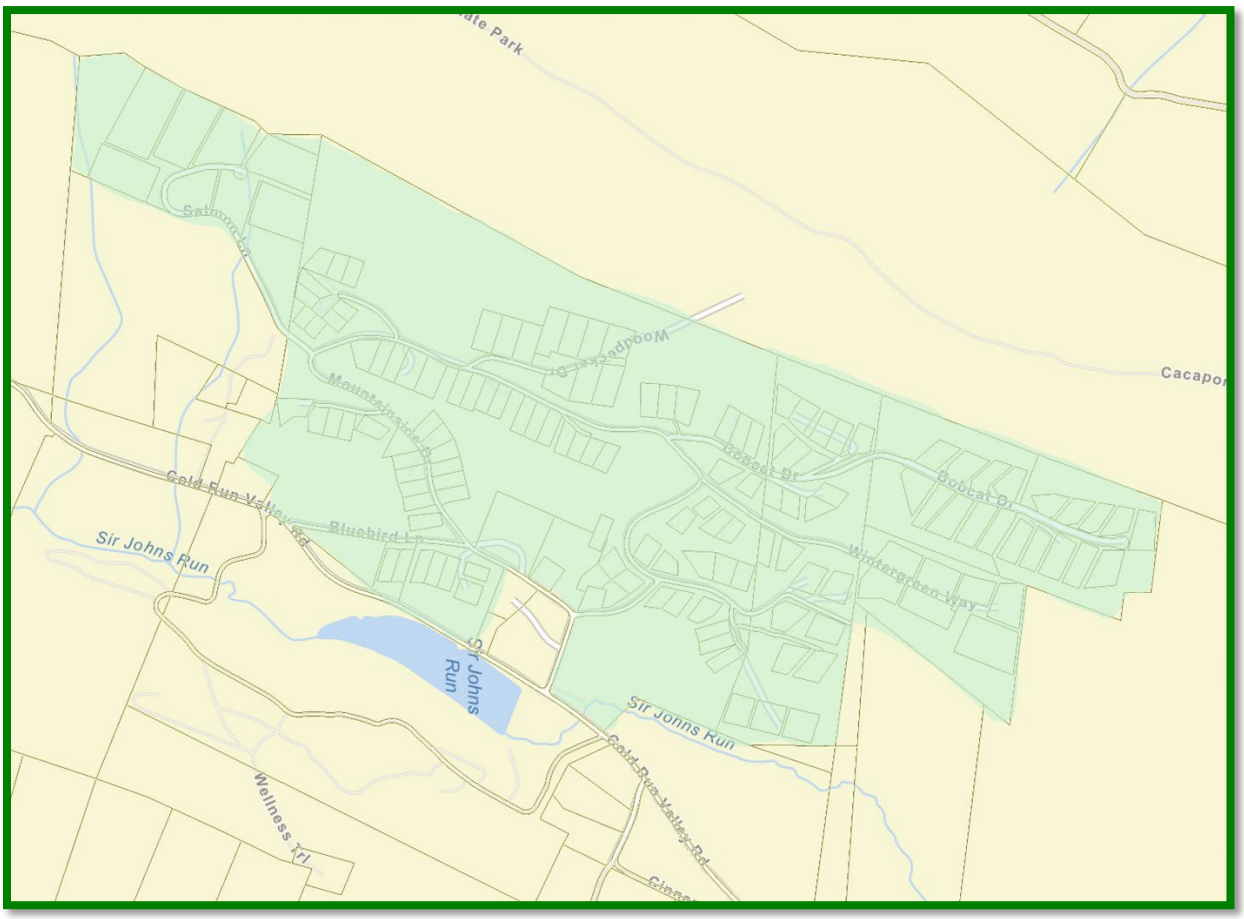
Berkeley Springs, West Virginia

and submit our findings in this report. The effective date of this study is the date of our visual, noninvasive inspection, March 28, 2025. We conducted the original inspection on June 27, 2020.

We present our findings and recommendations in the following report sections and spreadsheets:

- **Identification of Property -** Segregates all property into several areas of responsibility for repair or replacement
- **Reserve Expenditures -** Identifies reserve components and related quantities, useful lives, remaining useful lives and future reserve expenditures during the next 30 years
- **Reserve Funding Plan -** Presents the recommended Reserve Contributions and year-end Reserve Balances for the next 30 years
- **Five-Year Outlook -** Identifies reserve components and anticipated reserve expenditures during the first five years
- **Reserve Component Detail -** Describes the reserve components, includes photographic documentation of the condition of various property elements, describes our recommendations for repairs or replacement, and includes detailed solutions and procedures for replacements for the benefit of current and future board members
- **Methodology -** Lists the national standards, methods and procedures used to develop the Reserve Study
- **Definitions -** Contains definitions of terms used in the Reserve Study, consistent with national standards
- **Professional Service Conditions -** Describes Assumptions and Professional Service Conditions
- **Credentials and Resources**

IDENTIFICATION OF PROPERTY



Our investigation includes Reserve Components or property elements as set forth in your Declaration or which were identified as part of your request for proposed services. The Expenditure tables in Section 3 list the elements contained in this study. Our analysis begins by segregating the property elements into several areas of responsibility for repair and replacement.

Our process of identification helps assure that future boards and the management team understand whether reserves, the operating budget or Owners fund certain replacements and assists in preparation of the annual budget. We derive these segregated classes of property from our review of the information provided by the Association and through conversations with Management and the Board. These classes of property include:

- Reserve Components
- Long-Lived Property Elements
- Operating Budget Funded Repairs and Replacements
- Property Maintained by Owners
- Property Maintained by Others

We advise the Board to conduct an annual review of these classes of property to confirm its policy concerning the manner of funding, i.e., from reserves or the operating budget. Reserve Components are defined by CAI as property elements with:

- Coolfont responsibility
- Limited useful life expectancies
- Predictable remaining useful life expectancies
- Replacement cost above a minimum threshold

The following tables depict the items excluded from the Reserve Expenditure plan:

Excluded Components

for
Coolfont
Mountainside Association, Inc.
Berkeley Springs, West Virginia

Operating Budget Components

Repairs normally funded through the Operating Budget and Expenditures less than $3,000 (These relatively minor expenditures have a limited effect on the recommended Reserve Contributions.)

The operating budget provides money for the repair and replacement of certain Reserve Components. The Association may develop independent criteria for use of operating and reserve funds.

- Bridge, Decking and Stairs, Wood, Interim Deck Board Replacement and Repairs[1]
- Concrete Flatwork, Office Building and Mailbox Station Pad
- Fuel Tank, Pool Area
- Library Book Stand
- Light Fixtures, Exterior Common Buildings and Pool Area
- Office Equipment
- Paint Finishes, Touch Ups
- Pipes, Water and Sewer, Office Building
- Roadside Guard Rails, Repairs and Partial Replacements
- Signage, Wood, Street and Unit Identification
- Tetherball Post and Ball
- Walls, Masonry, Inspections and Repairs, Pump House Along Salmon Lane
- Walls, Siding, Interim Paint Applications and Partial Replacements, Office Building

[1] At Trail, Pool, and Tennis and Basketball Courts

Long-Lived Components

These elements may not have predictable Remaining Useful Lives or their replacement may occur beyond the scope of this study. The operating budget should fund infrequent repairs. Funding untimely or unexpected replacements from reserves will necessitate increases to Reserve Contributions. Periodic updates of this Reserve Study will help determine the merits of adjusting the Reserve Funding Plan.	**Useful Life**	**Estimated Cost**
• Electrical Systems, Office Building	to 70+	N/A
• Foundation, Barn	Indeterminate	N/A

Owners Responsibility Components

Certain items have been designated as the responsibility of the Owners to repair or replace at their cost, including items billed back.

- Gravel Driveways
- Homes and Lots
- Pipes, Subsurface Utilities Within the Property Lines

Excluded Components

for

Coolfont

Mountainside Association, Inc.

Berkeley Springs, West Virginia

Others Responsibility Components
Certain items have been designated as the responsibility of Others to repair or replace.
• Water System Including Wells, Pumps, Generator, and Treatment Facility (Separate Entity)

3. RESERVE EXPENDITURES and FUNDING PLAN

The tables following this introduction present:

Reserve Expenditures

- Line item numbers
- Total quantities
- Quantities replaced per phase (in a single year)
- Reserve component inventory
- Estimated first year of event (i.e., replacement, application, etc.)
- Life analysis showing
  - useful life
  - remaining useful life
- 2025 local cost of replacement
  - Per unit
  - Per phase
  - Replacement of total quantity
- Percentage of future expenditures anticipated during the next 30 years
- Schedule of estimated future costs for each reserve component including inflation

Reserve Funding Plan

- Reserves at the beginning of each year
- Total recommended reserve contributions
- Estimated interest earned from invested reserves
- Anticipated expenditures by year
- Anticipated reserves at year end
- Predicted reserves based on current funding level

Five-Year Outlook

- Line item numbers
- Reserve component inventory of only the expenditures anticipated to occur within the first five years
- Schedule of estimated future costs for each reserve component anticipated to occur within the first five years

The purpose of a Reserve Study is to provide an opinion of reasonable annual Reserve Contributions. Prediction of exact timing and costs of minor Reserve Expenditures typically will not significantly affect the 30-year cash flow analysis. Adjustments to the times and/or costs of expenditures may not always result in an adjustment in the recommended Reserve Contributions.

Financial statements prepared by your association, by you or others might rely in part on information contained in this section. For your convenience, we have provided an electronic data file containing the tables of ***Reserve Expenditures*** and ***Reserve Funding Plan***.

Years 2025 to 2040

RESERVE EXPENDITURES

Coolfont
Mountainside Association, Inc.
Berkeley Springs, West Virginia

Explanatory Notes:
1) **3.0% is the estimated Inflation Rate for estimating Future Replacement Costs.**
2) **FY2025 is Fiscal Year beginning January 1, 2025 and ending December 31, 2025.**

Line Item	Total Quantity	Per Phase Quantity	Units	Reserve Component Inventory	Estimated 1st Year of Event	Life Analysis, Years Useful	Remaining	Unit Costs, $ (2025)	Per Phase (2025)	Total (2025)	Percentage of Future Expenditures	RUL = 0 FY2025	1 2026	2 2027	3 2028	4 2029	5 2030	6 2031	7 2032	8 2033	9 2034	10 2035	11 2036	12 2037	13 2038	14 2039	15 2040
				Barn Elements																							
1.252	1	1	Allowance	Interior Renovation	2025	15 to 20	0	10,500.00	10,500	10,500	**1.0%**	10,500															16,359
1.260	1	1	Allowance	Lighting and Electrical Systems (Incl. Life Safety Systems)	2042	to 25	17	6,500.00	6,500	6,500	**0.2%**																
1.460	40	40	Squares	Roof Assemblies, Metal	2025	to 30	0	1,600.00	64,000	64,000	**4.2%**	64,000															
1.820	1	1	Allowance	Structural Repairs (2025 is Recommended)	2025	N/A	0	80,000.00	80,000	80,000	**1.6%**	80,000															
1.870	4,200	4,200	Square Feet	Walls, Siding, Wood, Replacement (Incl. Barn Doors)	2025	to 35	0	15.00	63,000	63,000	**1.2%**	63,000															
				Office Elements																							
2.252	1	1	Allowance	Interior Renovation, Complete	2040	to 25	15	21,500.00	21,500	21,500	**0.7%**																33,496
2.254	1	1	Allowance	Interior Renovation, Partial (2025 Partial is Budgeted)	2025	to 10	0	6,000.00	6,000	6,000	**0.4%**	2,000							7,379								
2.280	5	5	Squares	Roof Assembly, Asphalt Shingles	2029	15 to 20	4	680.00	3,400	3,400	**0.2%**					3,827											
2.820	1	1	Allowance	Security System	2039	10 to 15	14	2,000.00	2,000	2,000	**0.2%**															3,025	
2.830	1	1	Each	Shed	2032	20 to 25	7	4,000.00	4,000	4,000	**0.3%**								4,920								
2.870	750	750	Square Feet	Walls, Siding, Wood, Replacement (Incl. Railing)	2036	to 35	11	11.50	8,625	8,625	**0.2%**												11,939				
2.902	120	120	Square Feet	Windows and Doors	2036	to 40	11	60.00	7,200	7,200	**0.2%**												9,966				
				Pump House Elements																							
3.180	2	2	Each	Doors	2038	to 40	13	2,200.00	4,400	4,400	**0.1%**														6,462		
3.460	5	5	Squares	Roof Assemblies, Metal	2030	to 30	5	1,600.00	8,000	8,000	**0.2%**						9,274										
3.870	840	840	Square Feet	Walls, Siding, Wood, Replacement (Incl. Fence)	2038	to 35	13	11.50	9,660	9,660	**0.3%**														14,186		
				Property Site Elements																							
4.020	21,500	21,500	Square Yards	Asphalt Pavement, Crack Repair and Patch	2026	3 to 5	1	0.70	15,050	15,050	**2.7%**		15,502					17,970					20,833				
4.040	21,500	4,300	Square Yards	Asphalt Pavement, Mill and Overlay, Phased	2026	20 to 25	1 to 21	16.50	70,950	354,750	**12.9%**		73,079					84,718					98,211				
4.098	45	45	Square Feet	Bridge and Steps, Wood, Replacement	2034	20 to 25	9	90.00	4,050	4,050	**0.1%**									5,284							
4.300	0	1	Allowance	Culverts, Partial Replacements	2030	to 55+	5	10,000.00	10,000	10,000	**1.4%**						11,593								14,685		
4.375	1	1	Allowance	Forest, Partial Replacements and Pest Control	2028	to 5	3	25,000.00	25,000	25,000	**4.8%**				27,318					31,669				36,713		
4.400	1	1	Allowance	Gravel Roads, Partial Regrading and Replenishment	2026	Ongoing	1	22,500.00	22,500	22,500	**21.8%**		23,175	23,870	24,586	25,324	26,084	26,866	27,672	28,502	29,357	30,238	31,145	32,080	33,042	34,033	35,054
4.402	1	1	Allowance	Gravel Roads, Total Regrading and Replenishment (2025 is Budgeted)	2025	N/A	0	90,000.00	90,000	90,000	**1.8%**	90,000															
4.600	6	3	Each	Mailbox Stations, Phased	2039	to 25	14 to 17	2,100.00	6,300	12,600	**0.4%**															9,529	
4.650	1	1	Allowance	Pipes, Subsurface Utilities, Partial Replacements	2034	to 85+	9	9,000.00	9,000	9,000	**0.9%**										11,743						
4.660	1	1	Allowance	Playground Equipment	2039	to 15	14	6,800.00	6,800	6,800	**0.5%**															10,286	
4.780	1	1	Allowance	Septic System, Barn and Office	2032	to 30	7	21,000.00	21,000	21,000	**0.5%**								25,827								
4.800	1	1	Allowance	Signage, Entrance Monument, Renovation (2026 Only Sign Planned)	2026	15 to 20	1	8,700.00	8,700	8,700	**0.4%**		4,000														
4.820	2	1	Allowance	Site Furniture, Phased	2032	15 to 25	7 to 18	6,000.00	6,000	12,000	**0.6%**								7,379								
4.840	1,470	1,470	Square Yards	Tennis and Basketball Courts, Color Coat	2033	4 to 6	8	11.00	16,170	16,170	**2.0%**									20,484					23,746		
4.855	480	480	Linear Feet	Tennis and Basketball Courts, Fence	2028	to 25	3	47.00	22,560	22,560	**1.5%**				24,652												
4.858	1	1	Allowance	Tennis and Basketball Courts, Stairs, Wood, Phased	2028	20 to 25	3	8,000.00	8,000	8,000	**0.5%**				8,742												
4.860	1,470	1,470	Square Yards	Tennis and Basketball Courts, Surface Replacement	2028	to 25	3	48.00	70,560	70,560	**4.7%**				77,103												

RESERVE EXPENDITURES

Coolfont
Mountainside Association, Inc.
Berkeley Springs, West Virginia

Line Item	Total Quantity	Per Phase Quantity	Units	Reserve Component Inventory	Estimated 1st Year of Event	Life Analysis, Years Useful	Remaining	Costs, $ Unit (2025)	Per Phase (2025)	Total (2025)	Percentage of Future Expenditures	16 2041	17 2042	18 2043	19 2044	20 2045	21 2046	22 2047	23 2048	24 2049	25 2050	26 2051	27 2052	28 2053	29 2054	30 2055
				Barn Elements																						
1.252	1	1	Allowance	Interior Renovation	2025	15 to 20	0	10,500.00	10,500	10,500	**1.0%**															25,486
1.260	1	1	Allowance	Lighting and Electrical Systems (Incl. Life Safety Systems)	2042	to 25	17	6,500.00	6,500	6,500	**0.2%**		10,744													
1.460	40	40	Squares	Roof Assemblies, Metal	2025	to 30	0	1,600.00	64,000	64,000	**4.2%**													146,427		
1.820	1	1	Allowance	Structural Repairs (2025 is Recommended)	2025	N/A	0	80,000.00	80,000	80,000	**1.6%**															
1.870	4,200	4,200	Square Feet	Walls, Siding, Wood, Replacement (Incl. Barn Doors)	2025	to 35	0	15.00	63,000	63,000	**1.2%**															
				Office Elements																						
2.252	1	1	Allowance	Interior Renovation, Complete	2040	to 25	15	21,500.00	21,500	21,500	**0.7%**															
2.254	1	1	Allowance	Interior Renovation, Partial (2025 Partial is Budgeted)	2025	to 10	0	6,000.00	6,000	6,000	**0.4%**								11,842							
2.280	5	5	Squares	Roof Assembly, Asphalt Shingles	2029	15 to 20	4	680.00	3,400	3,400	**0.2%**									6,912						
2.820	1	1	Allowance	Security System	2039	10 to 15	14	2,000.00	2,000	2,000	**0.2%**														4,713	
2.830	1	1	Each	Shed	2032	20 to 25	7	4,000.00	4,000	4,000	**0.3%**												8,885			
2.870	750	750	Square Feet	Walls, Siding, Wood, Replacement (Incl. Railing)	2036	to 35	11	11.50	8,625	8,625	**0.2%**															
2.902	120	120	Square Feet	Windows and Doors	2036	to 40	11	60.00	7,200	7,200	**0.2%**															
				Pump House Elements																						
3.180	2	2	Each	Doors	2038	to 40	13	2,200.00	4,400	4,400	**0.1%**															
3.460	5	5	Squares	Roof Assemblies, Metal	2030	to 30	5	1,600.00	8,000	8,000	**0.2%**															
3.870	840	840	Square Feet	Walls, Siding, Wood, Replacement (Incl. Fence)	2038	to 35	13	11.50	9,660	9,660	**0.3%**															
				Property Site Elements																						
4.020	21,500	21,500	Square Yards	Asphalt Pavement, Crack Repair and Patch	2026	3 to 5	1	0.70	15,050	15,050	**2.7%**	24,151					27,997					32,457				
4.040	21,500	4,300	Square Yards	Asphalt Pavement, Mill and Overlay, Phased	2026	20 to 25	1 to 21	16.50	70,950	354,750	**12.9%**	113,854					131,988					153,010				
4.098	45	45	Square Feet	Bridge and Steps, Wood, Replacement	2034	20 to 25	9	90.00	4,050	4,050	**0.1%**															
4.300	0	1	Allowance	Culverts, Partial Replacements	2030	to 55+	5	10,000.00	10,000	10,000	**1.4%**						18,603								23,566	
4.375	1	1	Allowance	Forest, Partial Replacements and Pest Control	2028	to 5	3	25,000.00	25,000	25,000	**4.8%**			42,561					49,340					57,198		
4.400	1	1	Allowance	Gravel Roads, Partial Regrading and Replenishment	2026	Ongoing	1	22,500.00	22,500	22,500	**21.8%**	36,106	37,189	38,305	39,454	40,638	41,857	43,112	44,406	45,738	47,110	48,523	49,979	51,478	53,023	54,613
4.402	1	1	Allowance	Gravel Roads, Total Regrading and Replenishment (2025 is Budgeted)	2025	N/A	0	90,000.00	90,000	90,000	**1.8%**															
4.600	6	3	Each	Mailbox Stations, Phased	2039	to 25	14 to 17	2,100.00	6,300	12,600	**0.4%**		10,413													
4.650	1	1	Allowance	Pipes, Subsurface Utilities, Partial Replacements	2034	to 85+	9	9,000.00	9,000	9,000	**0.9%**		14,876								18,844					
4.660	1	1	Allowance	Playground Equipment	2039	to 15	14	6,800.00	6,800	6,800	**0.5%**														16,025	
4.780	1	1	Allowance	Septic System, Barn and Office	2032	to 30	7	21,000.00	21,000	21,000	**0.5%**															
4.800	1	1	Allowance	Signage, Entrance Monument, Renovation (2026 Only Sign Planned)	2026	15 to 20	1	8,700.00	8,700	8,700	**0.4%**						16,185									
4.820	2	1	Allowance	Site Furniture, Phased	2032	15 to 25	7 to 18	6,000.00	6,000	12,000	**0.6%**			10,215											14,139	
4.840	1,470	1,470	Square Yards	Tennis and Basketball Courts, Color Coat	2033	4 to 6	8	11.00	16,170	16,170	**2.0%**			27,528					31,913							
4.855	480	480	Linear Feet	Tennis and Basketball Courts, Fence	2028	to 25	3	47.00	22,560	22,560	**1.5%**													51,616		
4.858	1	1	Allowance	Tennis and Basketball Courts, Stairs, Wood, Phased	2028	20 to 25	3	8,000.00	8,000	8,000	**0.5%**													18,303		
4.860	1,470	1,470	Square Yards	Tennis and Basketball Courts, Surface Replacement	2028	to 25	3	48.00	70,560	70,560	**4.7%**													161,436		

Years 2025 to 2040

RESERVE EXPENDITURES

Coolfont
Mountainside Association, Inc.
Berkeley Springs, West Virginia

Explanatory Notes:
1) **3.0% is the estimated Inflation Rate for estimating Future Replacement Costs.**
2) **FY2025 is Fiscal Year beginning January 1, 2025 and ending December 31, 2025.**

Line Item	Total Quantity	Per Phase Quantity	Units	Reserve Component Inventory	Estimated 1st Year of Event	Life Analysis, Years Useful	Remaining	Costs, $ Unit (2025)	Per Phase (2025)	Total (2025)	Percentage of Future Expenditures	RUL = 0 FY2025	1 2026	2 2027	3 2028	4 2029	5 2030	6 2031	7 2032	8 2033	9 2034	10 2035	11 2036	12 2037	13 2038	14 2039	15 2040
				Pool Elements																							
6.150	2,270	2,270	Square Feet	Covers, Vinyl	2027	8 to 10	2	8.00	18,160	18,160	**2.2%**			19,266								24,406					
6.200	1,920	1,920	Square Feet	Deck, Total Replacement (2027 Planned Total Replacement with Concrete)	2027	N/A	2	15.00	28,800	28,800	**0.6%**			30,554													
6.205	2,450	2,450	Square Feet	Deck and Walls, Concrete and Flagstone Pavers, Repairs and Partial Replacement (2025 Repointing is Budgeted)	2025	8 to 12	0	2.00	4,900	4,900	**0.3%**	1,000												6,986			
6.400	600	600	Linear Feet	Fence, Chain Link (2025 Partial Replacements are Budgeted)	2025	to 25	0	37.00	22,200	22,200	**1.6%**	2,200							27,303								
6.402	60	60	Linear Feet	Fence, Metal	2034	to 35	9	60.00	3,600	3,600	**0.1%**										4,697						
6.500	2	1	Allowance	Furniture, Phased (2025 Partial Replacements are Budgeted)	2025	to 12	0 to 6	8,000.00	8,000	16,000	**1.5%**	4,000						9,552						11,406			
6.598	2	2	Each	Mechanical Equipment, Heaters	2031	to 15	6	3,500.00	7,000	7,000	**0.4%**							8,358									
6.599	1	1	Allowance	Mechanical Equipment, Pavilion (2026 Installation Budgeted)	2026	to 25	1	15,000.00	15,000	15,000	**0.6%**		5,000														
6.600	3	1	Allowance	Mechanical Equipment, Remaining, Phased (2027 Repiping at Fountain Budgeted)	2027	to 15	2 to 12	4,000.00	4,000	12,000	**0.9%**			12,000					4,920					5,703			
6.800	2,080	2,080	Square Feet	Pool Finishes, Plaster	2027	8 to 12	2	14.00	29,120	29,120	**2.5%**			30,893										41,518			
6.801	270	270	Linear Feet	Pool Finishes, Tile and Coping (Near Term is Planned)	2027	15 to 25	2	68.00	18,360	18,360	**1.1%**			19,478													
6.850	1	1	Allowance	Shed	2026	20 to 25	1	10,000.00	10,000	10,000	**0.6%**		10,300														
6.900	2,080	2,080	Square Feet	Structures and Deck, Total Replacement	2055	to 65	30	190.00	395,200	395,200	**18.9%**																
				Anticipated Expenditures, By Year ($5,065,728 over 30 years)								316,700	131,055	136,062	162,401	29,151	46,951	147,465	105,400	80,655	51,082	54,644	172,095	97,693	128,834	56,873	84,909

RESERVE EXPENDITURES

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Mountainside Association, Inc.
Berkeley Springs, West Virginia

Line Item	Total Quantity	Per Phase Quantity	Units	Reserve Component Inventory	Estimated 1st Year of Event	Life Analysis, Years Useful	Remaining	Costs, $ Unit (2025)	Per Phase (2025)	Total (2025)	Percentage of Future Expenditures	16 2041	17 2042	18 2043	19 2044	20 2045	21 2046	22 2047	23 2048	24 2049	25 2050	26 2051	27 2052	28 2053	29 2054	30 2055
				Pool Elements																						
6.150	2,270	2,270	Square Feet	Covers, Vinyl	2027	8 to 10	2	8.00	18,160	18,160	**2.2%**			30,916								39,164				
6.200	1,920	1,920	Square Feet	Deck, Total Replacement (2027 Planned Total Replacement with Concrete)	2027	N/A	2	15.00	28,800	28,800	**0.6%**															
6.205	2,450	2,450	Square Feet	Deck and Walls, Concrete and Flagstone Pavers, Repairs and Partial Replacement (2025 Repointing is Budgeted)	2025	8 to 12	0	2.00	4,900	4,900	**0.3%**							9,389								
6.400	600	600	Linear Feet	Fence, Chain Link (2025 Partial Replacements are Budgeted)	2025	to 25	0	37.00	22,200	22,200	**1.6%**												49,313			
6.402	60	60	Linear Feet	Fence, Metal	2034	to 35	9	60.00	3,600	3,600	**0.1%**															
6.500	2	1	Allowance	Furniture, Phased (2025 Partial Replacements are Budgeted)	2025	to 12	0 to 6	8,000.00	8,000	16,000	**1.5%**			13,619						16,262						19,418
6.598	2	2	Each	Mechanical Equipment, Heaters	2031	to 15	6	3,500.00	7,000	7,000	**0.4%**						13,022									
6.599	1	1	Allowance	Mechanical Equipment, Pavilion (2026 Installation Budgeted)	2026	to 25	1	15,000.00	15,000	15,000	**0.6%**						27,904									
6.600	3	1	Allowance	Mechanical Equipment, Remaining, Phased (2027 Repiping at Fountain Budgeted)	2027	to 15	2 to 12	4,000.00	4,000	12,000	**0.9%**		6,611					7,664					8,885			
6.800	2,080	2,080	Square Feet	Pool Finishes, Plaster	2027	8 to 12	2	14.00	29,120	29,120	**2.5%**							55,797								
6.801	270	270	Linear Feet	Pool Finishes, Tile and Coping (Near Term is Planned)	2027	15 to 25	2	68.00	18,360	18,360	**1.1%**							35,180								
6.850	1	1	Allowance	Shed	2026	20 to 25	1	10,000.00	10,000	10,000	**0.6%**						18,603									
6.900	2,080	2,080	Square Feet	Structures and Deck, Total Replacement	2055	to 65	30	190.00	395,200	395,200	**18.9%**															959,254
				Anticipated Expenditures, By Year ($5,065,728 over 30 years)								174,111	79,833	163,144	39,454	40,638	296,159	151,142	137,500	68,912	65,954	273,154	117,062	486,459	111,466	1,058,772

RESERVE FUNDING PLAN

CASH FLOW ANALYSIS
Coolfont
Mountainside Association, Inc.
Berkeley Springs, West Virginia

Individual Reserve Budgets & Cash Flows for the Next 30 Years

		FY2025	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035	2036	2037	2038	2039	2040
Reserves at Beginning of Year	*(Note 1)*	326,491	110,775	92,933	69,536	18,812	101,767	168,922	136,019	144,860	182,363	254,298	328,112	288,531	327,037	338,872	428,014
Total Recommended Reserve Contributions	*(Note 2)*	**95,160**	**110,500**	**110,500**	**110,500**	**110,500**	**110,500**	**110,500**	**110,500**	**113,800**	**117,200**	**120,700**	**124,300**	**128,000**	**131,800**	**135,800**	**139,900**
Estimated Interest Earned, During Year	*(Note 3)*	5,824	2,713	2,164	1,177	1,606	3,606	4,062	3,741	4,359	5,816	7,758	8,214	8,199	8,870	10,215	12,299
Anticipated Expenditures, By Year		(316,700)	(131,055)	(136,062)	(162,401)	(29,151)	(46,951)	(147,465)	(105,400)	(80,655)	(51,082)	(54,644)	(172,095)	(97,693)	(128,834)	(56,873)	(84,909)
Anticipated Reserves at Year End		$110,775	$92,933	$69,536	$18,812 *(NOTE 5)*	$101,767	$168,922	$136,019	$144,860	$182,363	$254,298	$328,112	$288,531	$327,037	$338,872	$428,014	$495,304

(continued)

Individual Reserve Budgets & Cash Flows for the Next 30 Years, Continued

	2041	2042	2043	2044	2045	2046	2047	2048	2049	2050	2051	2052	2053	2054	2055
Reserves at Beginning of Year	495,304	478,261	560,668	565,423	700,330	842,442	734,387	775,456	836,731	974,546	1,124,654	1,074,494	1,187,056	934,354	1,061,170
Total Recommended Reserve Contributions	**144,100**	**148,400**	**152,900**	**157,500**	**162,200**	**167,100**	**172,100**	**177,300**	**182,600**	**188,100**	**193,700**	**199,500**	**205,500**	**211,700**	**218,100**
Estimated Interest Earned, During Year	12,968	13,839	15,000	16,860	20,550	21,004	20,111	21,475	24,127	27,962	29,293	30,124	28,258	26,581	17,303
Anticipated Expenditures, By Year	(174,111)	(79,833)	(163,144)	(39,454)	(40,638)	(296,159)	(151,142)	(137,500)	(68,912)	(65,954)	(273,154)	(117,062)	(486,459)	(111,466)	(1,058,772)
Anticipated Reserves at Year End	$478,261	$560,668	$565,423	$700,330	$842,442	$734,387	$775,456	$836,731	$974,546	$1,124,654	$1,074,494	$1,187,056	$934,354	$1,061,170	$237,801 *(NOTES 4&5)*

Explanatory Notes:

1) Year 2025 starting reserves are as of December 31, 2024; FY2025 starts January 1, 2025 and ends December 31, 2025.
2) Reserve Contributions for 2025 are budgeted; 2026 is the first year of recommended contributions.
3) **2.7%** is the estimated annual rate of return on invested reserves.
4) Accumulated year 2055 ending reserves consider the age, size, overall condition and complexity of the property.
5) Threshold Funding Years (reserve balance at critical point).

RESERVE FUNDING PLAN

Alternate

CASH FLOW ANALYSIS

Coolfont

Mountainside Association, Inc.

Berkeley Springs, West Virginia

This Alternate Funding Plan is provided at the request of Management and the Board and does not represent the recommendation of Reserve Advisors

Individual Reserve Budgets & Cash Flows for the Next 30 Years

		FY2025	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035	2036	2037	2038	2039	2040
Reserves at Beginning of Year	*(Note 1)*	326,491	331,212	272,499	238,444	176,774	248,488	304,098	262,277	264,899	295,710	360,469	426,609	378,843	408,639	411,225	490,463
Total Recommended Reserve Contributions	*(Note 2)*	**95,160**	**95,200**	**95,200**	**95,200**	**95,200**	**95,200**	**98,100**	**101,000**	**104,000**	**107,100**	**110,300**	**113,600**	**117,000**	**120,500**	**124,100**	**127,800**
Estimated Interest Earned, During Year	*(Note 3)*	8,761	8,042	6,806	5,531	5,665	7,361	7,544	7,022	7,467	8,740	10,484	10,729	10,489	10,921	12,011	14,042
Anticipated Expenditures, By Year		(99,200)	(161,955)	(136,062)	(162,401)	(29,151)	(46,951)	(147,465)	(105,400)	(80,655)	(51,082)	(54,644)	(172,095)	(97,693)	(128,834)	(56,873)	(68,551)
Anticipated Reserves at Year End		$331,212	$272,499	$238,444	$176,774	$248,488	$304,098	$262,277	$264,899	$295,710	$360,469	$426,609	$378,843	$408,639	$411,225	$490,463	$563,754

(continued)

Individual Reserve Budgets & Cash Flows for the Next 30 Years, Continued

	2041	2042	2043	2044	2045	2046	2047	2048	2049	2050	2051	2052	2053	2054	2055
Reserves at Beginning of Year	563,754	535,891	617,668	610,483	732,721	861,417	739,077	765,071	810,356	931,345	1,063,665	994,831	1,087,709	962,689	1,071,620
Total Recommended Reserve Contributions	**131,600**	**135,500**	**139,600**	**143,800**	**148,100**	**152,500**	**157,100**	**161,800**	**166,700**	**171,700**	**176,900**	**182,200**	**187,700**	**193,300**	**199,100**
Estimated Interest Earned, During Year	14,647	15,366	16,359	17,892	21,234	21,319	20,036	20,985	23,200	26,574	27,420	27,740	27,312	27,097	17,672
Anticipated Expenditures, By Year	(174,111)	(69,089)	(163,144)	(39,454)	(40,638)	(296,159)	(151,142)	(137,500)	(68,912)	(65,954)	(273,154)	(117,062)	(340,032)	(111,466)	(1,033,286)
Anticipated Reserves at Year End	$535,891	$617,668	$610,483	$732,721	$861,417	$739,077	$765,071	$810,356	$931,345	$1,063,665	$994,831	$1,087,709	$962,689	$1,071,620	$255,107
															(NOTES 4&5)

Explanatory Notes:

1) Year 2025 starting reserves are as of December 31, 2024; FY2025 starts January 1, 2025 and ends December 31, 2025.

2) Reserve Contributions for 2025 are budgeted; 2026 is the first year of recommended contributions.

3) **2.7%** is the estimated annual rate of return on invested reserves.

4) Accumulated year 2055 ending reserves consider the age, size, overall condition and complexity of the property.

5) Threshold Funding Year (reserve balance at critical point).

*Refer to the Reserve Expenditures pages for the full list of reserve elements

FIVE-YEAR OUTLOOK

Coolfont
Mountainside Association, Inc.
Berkeley Springs, West Virginia

Line Item	Reserve Component Inventory	RUL = 0 FY2025	1 2026	2 2027	3 2028	4 2029	5 2030
	Barn Elements						
1.252	Interior Renovation	10,500					
1.460	Roof Assemblies, Metal	64,000					
1.820	Structural Repairs (2025 is Recommended)	80,000					
1.870	Walls, Siding, Wood, Replacement (Incl. Barn Doors)	63,000					
	Office Elements						
2.254	Interior Renovation, Partial (2025 Partial is Budgeted)	2,000					
2.280	Roof Assembly, Asphalt Shingles					3,827	
	Pump House Elements						
3.460	Roof Assemblies, Metal						9,274
	Property Site Elements						
4.020	Asphalt Pavement, Crack Repair and Patch		15,502				
4.040	Asphalt Pavement, Mill and Overlay, Phased		73,079				
4.300	Culverts, Partial Replacements						11,593
4.375	Forest, Partial Replacements and Pest Control				27,318		
4.400	Gravel Roads, Partial Regrading and Replenishment		23,175	23,870	24,586	25,324	26,084
4.402	Gravel Roads, Total Regrading and Replenishment (2025 is Budgeted)	90,000					
4.800	Signage, Entrance Monument, Renovation (2026 Only Sign Planned)		4,000				
4.855	Tennis and Basketball Courts, Fence				24,652		
4.858	Tennis and Basketball Courts, Stairs, Wood, Phased				8,742		
4.860	Tennis and Basketball Courts, Surface Replacement				77,103		
	Pool Elements						
6.150	Covers, Vinyl			19,266			
6.200	Deck, Total Replacement (2027 Planned Total Replacement with Concrete)			30,554			
6.205	Deck and Walls, Concrete and Flagstone Pavers, Repairs and Partial Replacement (2025 Repointing is Budgeted)	1,000					
6.400	Fence, Chain Link (2025 Partial Replacements are Budgeted)	2,200					
6.500	Furniture, Phased (2025 Partial Replacements are Budgeted)	4,000					
6.599	Mechanical Equipment, Pavilion (2026 Installation Budgeted)		5,000				
6.600	Mechanical Equipment, Remaining, Phased (2027 Repiping at Fountain Budgeted)			12,000			
6.800	Pool Finishes, Plaster			30,893			
6.801	Pool Finishes, Tile and Coping (Near Term is Planned)			19,478			
6.850	Shed		10,300				
	Anticipated Expenditures, By Year ($822,319 over 5 years)	316,700	131,055	136,062	162,401	29,151	46,951

4. RESERVE COMPONENT DETAIL

The Reserve Component Detail of this *Reserve Study* includes enhanced solutions and procedures for select significant components. This section describes the Reserve Components, documents specific problems and condition assessments, and may include detailed solutions and procedures for necessary capital repairs and replacements for the benefit of current and future board members. We advise the Board use this information to help define the scope and procedures for repair or replacement when soliciting bids or proposals from contractors. *However, the Report in whole or part is not and should not be used as a design specification or design engineering service*.

Barn Elements

Barn front elevation overview

Barn rear elevation overview

Barn side elevation overview

Interior Renovations

Line Item: 1.252

Quantity: The barn interior components include:

- Wood floor coverings
- Plumbing fixtures including toilets and sinks
- Limited furnishings including folding tables and chairs

History: The barn interior elements vary greatly in age. In 2019, the Association upgraded the electrical and plumbing systems at the barn including new life safety system exit signs and light fixtures were brought up to code.

Condition: Fair overall with wood floor finish deterioration and wood split at the floors evident. We note structural issues related to the interior supports on *Line Item 1.820.*

Barn interior overview with wood floor finish deterioration

Sinks overview

Rest room overview

Wood split

Useful Life: Complete renovation up to every 20 years

Priority/Criticality: Per Board discretion

Expenditure Detail Notes: Expenditure timing and costs are depicted in the ***Reserve Expenditures*** table in Section 3. Our cost for renovation includes the following:

- Partial replacements of the wood floors
- Partial replacements of the plumbing fixtures
- Partial replacements of the furnishings
- Minor electrical repairs

Lighting and Electrical Systems

Line Item: 1.260

Quantity: The Association maintains electrical systems for the lighting including exit signs in the barn.

History: The lighting and electrical systems were upgraded in 2019 including new life safety exit signs, and light fixtures were brought up to code.

Condition: Reported satisfactory operational conditions

Light fixtures overview

Pull station, and audio and visual fixture overview

Useful Life: Up to 30 years

Priority/Criticality: Per Board discretion

Expenditure Detail Notes: Expenditure timing and costs are depicted in the ***Reserve Expenditures*** table in Section 3.

Roof Assembly, Metal

Line Item: 1.460

Quantity: Approximately 40 *squares*[1]

History: Unknown age

Condition: Fair to poor overall with sections of undulating, deflection and rust evident

Metal roof overview with rust

Gutter and downspout overview

Roof deflection

Roof deflection

[1] We quantify the roof area in squares where one square is equal to 100 square feet of surface area.

Roof undulating and rust

Useful Life: Up to 30 years

Preventative Maintenance Notes: We recommend the Association maintain a service and inspection contract with a qualified professional and record all documentation of repairs conducted. We note the following select recommended preventative maintenance activities to maximize the remaining useful life:

- Annually:
  - Record any areas of water infiltration, damage or loose fasteners
  - Implement repairs as needed if issues are reoccurring
  - Periodic cleaning at areas with organic growth

Priority/Criticality: Defer only upon opinion of independent professional or engineer

Expenditure Detail Notes: Expenditure timing and costs are depicted in the ***Reserve Expenditures*** table in Section 3.

Structural Repairs

Line Item: 1.820

Quantity/History/Condition: The Association maintains one barn near the office. The Barn has been condemned by the Association following structural concerns, particularly at the rear of the barn held up by wood columns. At the time of our inspection, additional metal supports had been installed to help hold up the barn. The Association reports several inspections from separate contractors who recommended demolition rather than further renovations. We note the barn is in poor overall condition with leaning supports, wood deterioration, warped siding, warped roof and roof rust evident. Based on conversations with the Association, they plan to conduct extensive structural repairs and continue to utilize the barn in the community.

Additional metal supports

Leaning original support

Leaning original support

Wood deterioration at original support

Wood deterioration at support

Wood deterioration at siding

Warped siding

Wood deterioration at fascia and roof rust

Wood deterioration at interior support

Wood deterioration at interior support

Wood deterioration and warped roof

Warped roofing

Priority/Criticality: Defer only upon opinion of independent professional or engineer

Expenditure Detail Notes: Expenditure timing and costs are depicted in the ***Reserve Expenditures*** table in Section 3. The exact costs of structural repairs may vary significantly depending on the scope of work required. We recommend the Association

engage the services of a structural engineer if the Board chooses this plan. This plan does not represent the recommendations of ***Reserve Advisors***. Future updates to this report will re-evaluate our recommendations depending on the actions taken by Coolfont to maintain or demolish the barn.

Walls, Siding, Wood

Line Items: 1.870

Quantity: Approximately 4,200 square feet of the exterior walls. This quantity includes the wood doors and barn doors.

History: Unknown age

Condition: Fair to poor overall with warped siding, loose siding, loose fasteners and wood deterioration evident.

Wood siding overview

Barn doors overview

Warped and loose siding, and loose fasteners

Warped and loose siding, and loose fasteners

Wood siding deterioration

Wood fascia deterioration

Loose siding and fasteners

Useful Life: Up to 35 years with the benefit of periodic maintenance.

Preventative Maintenance Notes: We note the following select recommended preventative maintenance activities to maximize the remaining useful life:

- Annually:
  - Inspect and repair loose siding, warping and wildlife damage

Priority/Criticality: Defer only upon opinion of independent professional or engineer

Expenditure Detail Notes: Expenditure timing and costs are depicted in the ***Reserve Expenditures*** table in Section 3.

Office Elements

Interior Renovations

Line Items: 2.252 and 2.254

Quantity: The office interior components include:

- Wood floor coverings in the main room
- Tile floor coverings at the main room
- Coated concrete floors in the rest rooms
- Paint finishes on the walls and ceilings
- Plumbing fixtures including toilets, sinks and shower stalls
- Water heater
- Wall heater
- Light fixtures including exit and emergency lights
- Furnishings including ceiling fan, folding tables, folding chairs, desks, filing cabinets, and changing stations
- Appliances including microwave, refrigerator, and hand dryers

History: The office was installed between 2001 and 2002. The furnishings vary in age, with renovations including coating applications to the concrete floors, partial wood floor replacement with tile, paint applications and refrigerator installation in 2024 and 2025. The Association budgeted for additional partial renovations including floor replacement in 2025. The mini refrigerator was removed following our inspection and floor repairs are planned for 2025.

Condition: Good to fair overall with water damage, wood floor deterioration and floor scuffs evident.

Furnishings overview

Furnishings overview – Note: the Association removed the mini refrigerator following our inspection

Light fixtures and ceiling fan overview

Tile floor coverings overview

Shower stall overview

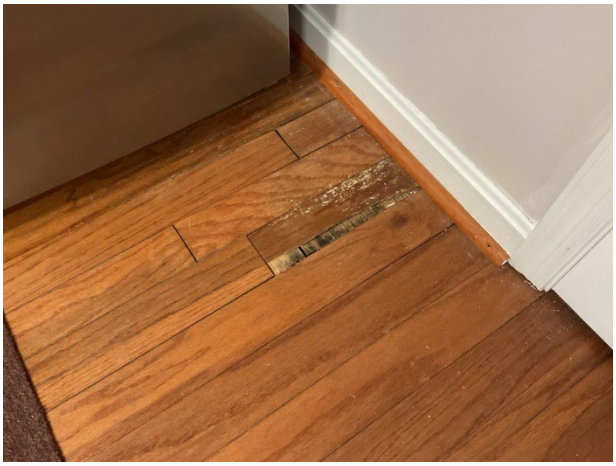
Coated concrete floors overview

Plumbing fixtures overview

Wall heater overview

Water heater overview

Changing station overview



Water damage and wood deterioration – Note: floor planned for replacement in 2025

Wood floor scuffs

Useful Life: Complete renovation up to every 25 years and partial renovation every up to every 10 years

Priority/Criticality: Per Board discretion

Expenditure Detail Notes: Expenditure timing and costs are depicted in the ***Reserve Expenditures*** table in Section 3. The complete renovation should include paint finish applications to the walls and ceilings, coating applications to the concrete floors at the rest rooms, and replacement of all remaining components listed above. The partial renovations should include the following:

- Paint finish applications to the walls and ceilings
- Coating applications to the concrete floors at the rest rooms
- Replacement of up to fifty percent (50%) of the furnishings
- Replacement of up to twenty-five percent (25%) of the rest room plumbing fixtures including water heaters and wall heaters.

Roof Assembly, Asphalt Shingles

Line Item: 2.280

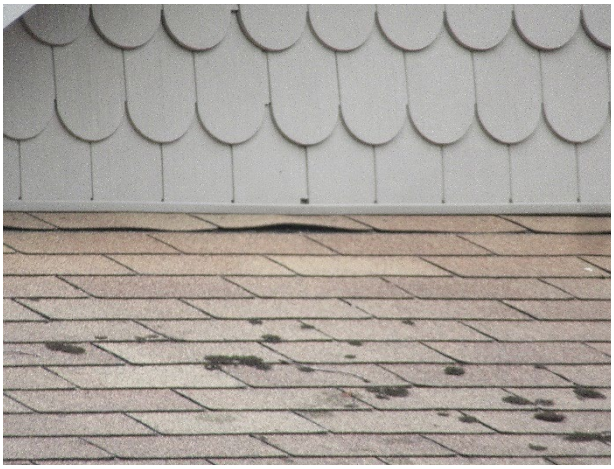
Quantity: Five *squares*[2] including approximately 150 linear feet of aluminum gutters and downspouts.

History: Original to construction between 2001 and 2002

Condition: Fair overall with shingle lift, organic growth, dented gutters, sagging gutters and warped ridge vent evident. The Board does not report a history of leaks.

Asphalt shingle roof overview

Gutter and downspout overview



Organic growth and shingle lift

Organic growth

[2] We quantify the roof area in squares where one square is equal to 100 square feet of surface area.

Dented gutter

Sagging Gutter

Warped ridge vent

Useful Life: 20- to 25-years

Component Detail Notes: The existing roof assembly comprises the following:

- Three tab shingles
- Boston style ridge cap
- Soffit and ridge vents
- Metal drip edge

Insulation and ventilation are two major components of a sloped roof system. Together, proper insulation and ventilation help to control attic moisture and maintain an energy efficient building. Both insulation and ventilation prevent moisture buildup which can cause wood rot, mold and mildew growth, warp sheathing, deteriorate shingles, and eventually damage building interiors. Sufficient insulation helps to minimize the quantity of moisture that enters the attic spaces and adequate ventilation helps to remove any moisture that enters the attic spaces. These two roof system components also help to reduce the amount of energy that is required to heat and cool a building. Proper attic insulation minimizes heat gain and heat loss between the residential living spaces and attic spaces. This reduces energy consumption year-round. Proper attic ventilation removes excessive heat from attic spaces that can radiate into residential living spaces

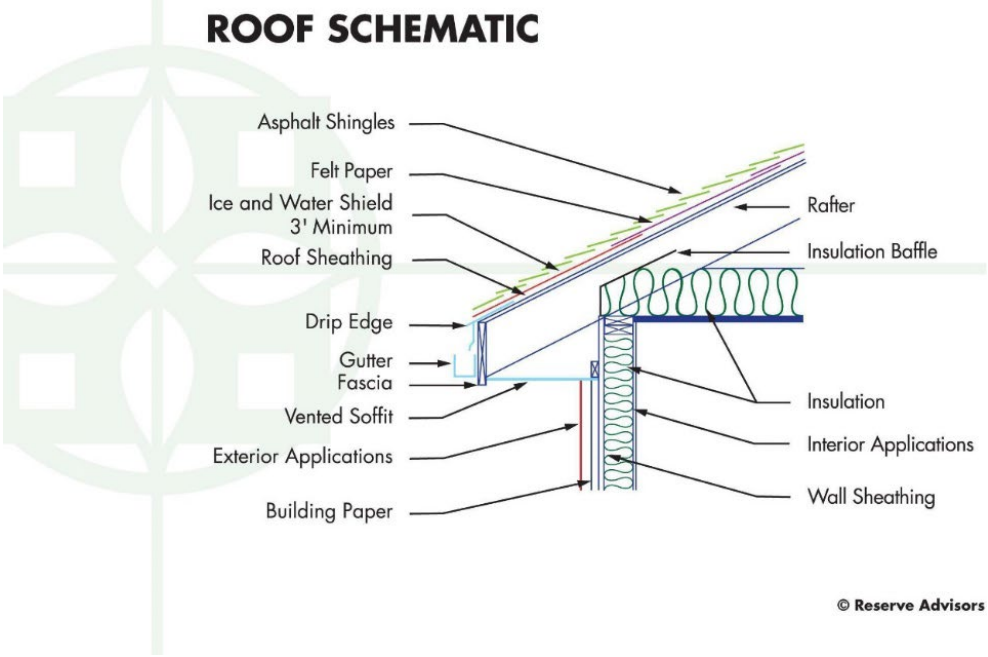
and cause air conditioners to work harder. Properly installed attic insulation and ventilation work together to maximize the useful life of sloped roof systems.

In addition to moisture control and energy conservation, proper attic insulation and ventilation are essential components to prevent the formation of ice dams. Ice dams occur when warm air accumulates at the peak of an attic while the roof eaves remain cold. Warm air from the attic melts the snow at the ridge of the roof and the water runs down the slope of the roof. At the cold roof eaves, the water refreezes and forms a buildup of snow and ice. This buildup often traps water that can prematurely deteriorate asphalt shingles and ultimately seep under the shingles and cause water damage to the roof deck and building interiors. Proper insulation minimizes the amount of heat that enters attic spaces in the winter and adequate ventilation helps to remove any heat that enters the attic spaces. Together, these components prevent ice dams with a cold roof deck that melts snow and ice evenly.

The vents should be clear of debris and not blocked from above by attic insulation. If the soffit vents are blocked from above, installation of polystyrene vent spaces or baffles between the roof joists at these locations can ensure proper ventilation.

Certain characteristics of condition govern the times of replacement. Replacement of an asphalt shingle roof becomes necessary when there are multiple or recurring leaks and when the shingles begin to cup, curl and lift. These conditions are indications that the asphalt shingle roof is near the end of its useful life. Even if the shingles are largely watertight, the infiltration of water in one area can lead to permanent damage to the underlying roof sheathing. This type of deterioration requires replacement of saturated sections of sheathing and greatly increases the cost of roof replacement. Roof leaks may occur from interrelated roof system components, i.e., flashings. Therefore, the warranty period, if any, on the asphalt shingles, may exceed the useful life of the roof system.

Warranties are an indication of product quality and are not a product guarantee. Asphalt shingle product warranties vary from 20- to 50-years and beyond. However, the scope is usually limited to only the material cost of the shingles as caused by manufacturing defects. Warranties may cover defects such as thermal splitting, granule loss, cupping, and curling. Labor cost is rarely included in the remedy so if roof materials fail, the labor to tear off and install new shingles is extra. Other limitations of warranties are exclusions for "incidental and consequential" damages resulting from age, hurricanes, hail storms, ice dams, severe winds, tornadoes, earthquakes, etc. There are some warranties which offer no dollar limit for replacement at an additional cost (effectively an insurance policy) but again these warranties also have limits and may not cover all damages other than a product defect. We recommend a review of the manufacturers' warranties as part of the evaluation of competing proposals to replace a roof system. This evaluation should identify the current costs of remedy if the roof were to fail in the near future. A comparison of the costs of remedy to the total replacement cost will assist in judging the merits of the warranties. The following cross-sectional schematic illustrates a typical asphalt shingle roof system although it may not reflect the actual configuration at Coolfont:



Contractors use one of two methods for replacement of sloped roofs, either an overlayment or a tear-off. Overlayment is the application of new shingles over an existing roof. However, there are many disadvantages to overlayment including hidden defects of the underlying roof system, absorption of more heat resulting in accelerated deterioration of the new and old shingles, and an uneven visual appearance. Therefore, we recommend only the tear-off method of replacement. The tear-off method of replacement includes removal of the existing shingles, flashings if required and underlayments.

The Association should plan to coordinate the replacement of gutters and downspouts with the adjacent roofs. This will result in the most economical unit price and minimize the possibility of damage to other roof components as compared to separate replacements.

Preventative Maintenance Notes: We recommend the Association maintain a service and inspection contract with a qualified professional and record all documentation of repairs conducted. We note the following select recommended preventative maintenance activities to maximize the remaining useful life:

- Annually:
    - Record any areas of water infiltration, flashing deterioration, damage or loose shingles
    - Inspect for ice dams and implement repairs as needed if issues are reoccurring
    - Trim tree branches that are near or in contact with roof
- As-needed:
    - Ensure proper ventilation and verify vents are clear of debris and not blocked from attic insulation

Priority/Criticality: Defer only upon opinion of independent professional or engineer

Expenditure Detail Notes: Expenditure timing and costs are depicted in the ***Reserve Expenditures*** table in Section 3.

Security System

Line Item: 2.820

Quantity: Coolfont utilizes the following security system which consists of cameras that record and save the videos to a cloud based server.

History: Installed in 2024

Condition: Reported satisfactory operational condition

Camera overview

Useful Life: Up to 15 years

Preventative Maintenance Notes: We recommend the Association obtain and adhere to the manufacturer's recommended maintenance plan. The required preventative maintenance may vary in frequency and scope based on the unit's age, operational condition, or changes in technology. We note the following select recommended preventative maintenance activities to maximize the remaining useful life:

- Monthly:
  - Check cameras for proper focus, fields of view are unobstructed and camera and lenses are clean and dust-free
  - Check recording for proper operation
- Annually:
  - Check exposed wiring and cables for wear, proper connections and signal transmission
  - Check power connections, and if applicable, functionality of battery power supply systems

Priority/Criticality: Per Board discretion

Expenditure Detail Notes: Expenditure timing and costs are depicted in the ***Reserve Expenditures*** table in Section 3.

Shed

Line Item: 2.830

Quantity: The Association maintains one shed adjacent to the office building.

History: Unknown age

Condition: Good to fair overall with insect damage evident

Shed overview

Insect damage

Useful Life: 20- to 25-years

Priority/Criticality: Per Board discretion

Expenditure Detail Notes: Expenditure timing and costs are depicted in the ***Reserve Expenditures*** table in Section 3.

Walls, Siding, Wood

Line Item: 2.870

Quantity: Approximately 750 square feet of the exterior walls. This quantity includes the soffit, fascia, railing and trim elements.

History: Original to construction between 2001 and 2002 with an unknown history of paint applications.

Condition: Good to fair overall with deterioration and missing soffit evident. The Association informs us the missing soffit depicted in the photo below has been replaced following our inspection.

Wood siding overview

Soffit overview

Railing overview

Siding deterioration

Siding deterioration

Missing soffit – Note: the Association informs us the soffit has been replaced following our inspection

Useful Life: With the benefit of periodic maintenance, applications of this type of material can have a useful life of up to 35 years.

Component Detail Notes: Wood siding is not watertight and is especially prone to water penetration at joints and knots. Therefore, wood siding should be installed over a continuous weather resistant barrier. The weather resistant barrier should include water-vapor permeable building paper and properly integrated flashing around all penetrations.

Preventative Maintenance Notes: We note the following select recommended preventative maintenance activities to maximize the remaining useful life:

- Annually:
    - Inspect and repair loose siding, warping, wildlife damage and sealant deterioration
    - Inspect and repair finish deterioration, peeling and chipping
    - Touch-up paint finishes as necessary to ensure a uniform finish in between complete finish applications

Priority/Criticality: Defer only upon opinion of independent professional or engineer

Expenditure Detail Notes: Expenditure timing and costs are depicted in the ***Reserve Expenditures*** table in Section 3. We recommend the Association coordinate replacement of the wood siding with the windows and doors. We recommend the Association budget for interim paint applications and partial replacements through the operating budget.

Windows and Doors

Line Item: 2.902

Quantity: Approximately 140 square feet of windows and doors at the Office.

History: Original to construction between 2001 and 2002.

Condition: Good overall

Door overview

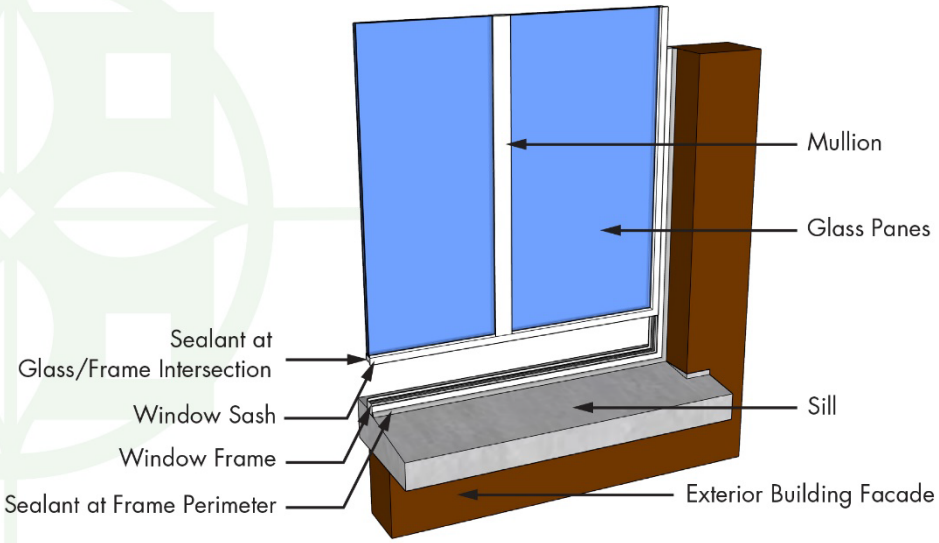
Window overview

Window overview

Useful Life: Up to 40 years

Component Detail Notes: The following schematic depicts the typical components of a window system although it may not reflect the actual configuration at Coolfont:

WINDOW DETAIL



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Properly designed window and door assemblies anticipate the penetration of some storm water beyond the gaskets. This infiltrated storm water collects in an internal drainage system and drains, or exits, the frames through weep holes. These weep holes can become clogged with dirt or if a sealant is applied, resulting in trapped storm water. However, as window frames, gaskets and sealants deteriorate, leaks into the interior can result. The windows and doors will eventually need replacement or major capital repairs to prevent water infiltration and damage from wind driven rain.

The thermal efficiencies of the window and door assemblies are affected by their design and construction components. These components include glazings, thickness of air space between glazings, low-conductivity gas, tinted coatings, low-e coatings and thermal barriers. The Association should thoroughly investigate these component options at the time of replacement. Some manufacturers may include these components as part of the standard product and other manufacturers may consider these components as options for an additional cost. Coolfont should review the specifications provided by the manufacturers to understand the thermal design and construction components of the proposed assemblies.

Preventative Maintenance Notes: We note the following select recommended preventative maintenance activities to maximize the remaining useful life:

- Annually:
    - Inspect and repair loose weather stripping and/or lock damage
    - Inspect for broken glass and damaged screens
    - Record instances of water infiltration, trapped moisture or leaks

- As-needed:
    - Verify weep holes are unobstructed and not blocked with dirt or sealant, if applicable
    - Replace damaged or deteriorated sliding glass rollers, if applicable

Priority/Criticality: Defer only upon opinion of independent professional or engineer

Expenditure Detail Notes: Expenditure timing and costs are depicted in the ***Reserve Expenditures*** table in Section 3. We recommend the Associations coordinate replacement of the windows and doors with the wood siding.

Pump House Elements

Pump house at 128 Salmon Lane overview

Pump house at 343 Bobcat Drive

Doors

Line Item: 3.180

Quantity: Two doors at the pump houses

History: Unknown ages

Condition: Good to fair overall

Door at pump house along Salmon Lane

Door at pump house along Bobcat Drive

Useful Life: Up to 30 years

Preventative Maintenance Notes: We note the following select recommended preventative maintenance activities to maximize the remaining useful life:

- Annually:
  - Inspect and repair any damage, base corrosion or alignment issues
  - Replace deteriorated hardware and loose weather stripping
  - Periodic touch-up paint finish applications as needed

Priority/Criticality: Defer only upon opinion of independent professional or engineer

Expenditure Detail Notes: Expenditure timing and costs are depicted in the ***Reserve Expenditures*** table in Section 3. We recommend the Associations coordinate replacement of the doors with the wood siding.

Roofs, Metal

Line Item: 3.460

Quantity: Approximately five *squares*[3] and approximately 120 linear feet of aluminum gutters and downspouts comprise the two roofs.

History: Unknown ages

Condition: Fair overall with roof lift evident. The Board does not report a history of leaks.

[3] We quantify the roof area in squares where one square is equal to 100 square feet of surface area.

Metal roof at pump house along Bobcat Drive

Gutter and downspout at pump house along Salmon Lane

Roof lift at pump house along Salmon Lane

Useful Life: Up to 30 years

Preventative Maintenance Notes: We recommend the Association maintain a service and inspection contract with a qualified professional and record all documentation of repairs conducted. We note the following select recommended preventative maintenance activities to maximize the remaining useful life:

- Annually:
  - Record any areas of water infiltration, flashing deterioration, damage or loose fasteners
  - Implement repairs as needed if issues are reoccurring
  - Ensure proper ventilation and verify vents are clear of debris and not blocked from attic insulation
  - Clear valleys of debris
  - Periodic cleaning at areas with organic growth

Priority/Criticality: Defer only upon opinion of independent professional or engineer

Expenditure Detail Notes: Expenditure timing and costs are depicted in the ***Reserve Expenditures*** table in Section 3.

Walls, Siding, Wood

Line Item: 3.870

Quantity: Approximately 840 square feet of the exterior walls. This quantity includes the fence adjacent to the pump house along Bobcat Drive.

History: Unknown age

Condition: Good to fair overall with wood split and wood rot evident

Wood siding at pump house along Salmon Lane

Wood siding at pump house along Bobcat Drive

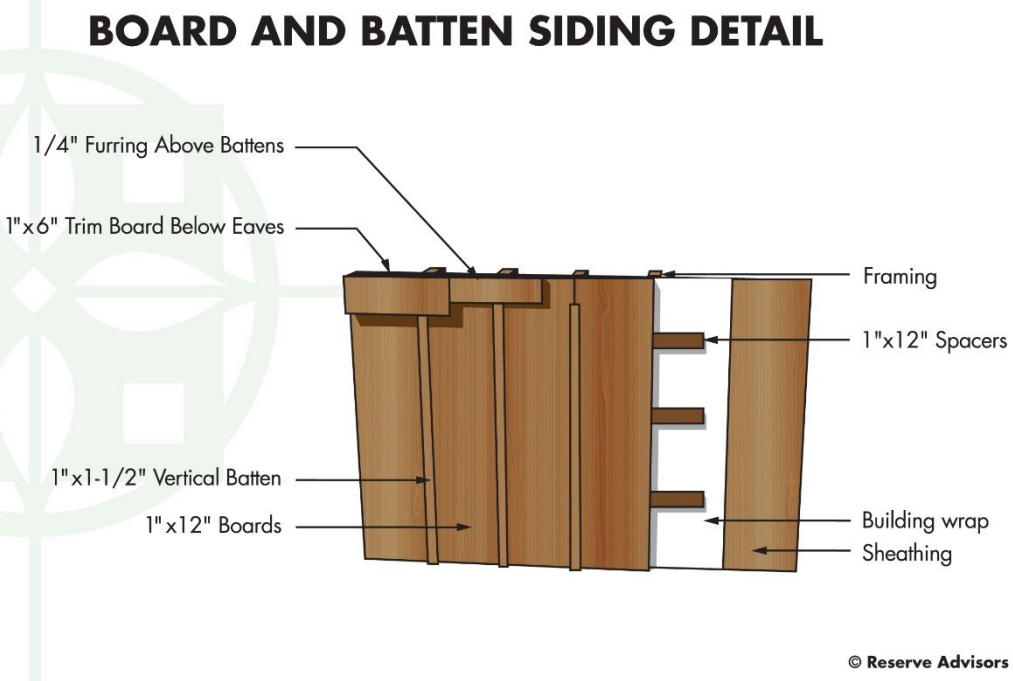
Fence at pump house along Bobcat Drive

Wood split at pump house along Bobcat Drive

Wood rot at pump house along Bobcat Drive

Useful Life: With the benefit of periodic maintenance, applications of this type of material can have a useful life of up to 35 years.

Component Detail Notes: Wood siding is not watertight and is especially prone to water penetration at joints and knots. Therefore, wood siding should be installed over a continuous weather resistant barrier. The weather resistant barrier should include water-vapor permeable building paper and properly integrated flashing around all penetrations. The following graphic details the typical components of a wood siding system:



Preventative Maintenance Notes: We note the following select recommended preventative maintenance activities to maximize the remaining useful life:

- Annually:
    - Inspect and repair loose siding, warping, wildlife damage and sealant deterioration
    - Inspect and repair finish deterioration, peeling and chipping
    - Touch-up paint finishes as necessary to ensure a uniform finish in between complete finish applications

Priority/Criticality: Defer only upon opinion of independent professional or engineer

Expenditure Detail Notes: Expenditure timing and costs are depicted in the ***Reserve Expenditures*** table in Section 3. We recommend the Associations coordinate replacement of the wood siding with the doors. We recommend the Association budget for interim paint finish applications and partial replacements through the operating budget.

Property Site Elements

Asphalt Pavement, Repaving

Line Items: 4.020 and 4.040

Quantity: Approximately 21,500 square yards comprise the asphalt pavement streets at the community including the entrance at Herbert Quick Drive, Mountainside Road and Bobcat Drive.

History: The last major repaving event took place in 1996 with major patching and repairs at the roads in 2017.

Condition: The majority of the street system is in good to fair overall condition with cracks and patching evident. However, a portion of the pavement along Bobcat Drive and around the intersection of Bobcat Drive and Mountainside Drive is in poor overall condition with extensive alligator cracks, patching, potholes and deterioration evident.

Asphalt pavement overview

Speed bump overview

Potholes and alligator cracks

Pothole and alligator cracks

Alligator cracks

Alligator cracks

Alligator cracks and deterioration

Alligator cracks

Alligator cracks and deterioration

Alligator cracks and patch

Alligator cracks

Asphalt cracks

Patch

Asphalt cracks and deterioration

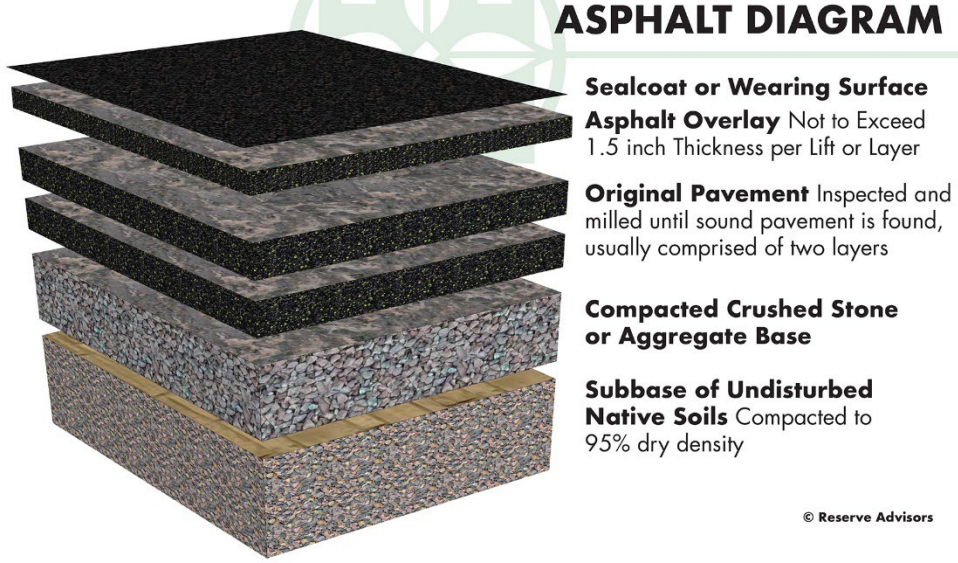
Useful Life: 15- to 20-years with the benefit of crack repair and patch events every three- to five-years

Component Detail Notes: Proposals should include mechanically routing and filling all cracks with hot emulsion. Crack repair minimizes the chance of the cracks transmitting

through the pavement. Patch repairs are conducted at areas exhibiting settlement, potholes, or excessive cracking. These conditions typically occur near high traffic areas, catch basins, and pavement edges.

The initial installation of asphalt uses at least two lifts, or two separate applications of asphalt, over the base course. The first lift is the binder course. The second lift is the wearing course. The wearing course comprises a finer aggregate for a smoother, more watertight finish.

The following diagram depicts the typical components although it may not reflect the actual configuration at Coolfont:



The manner of repaving is either a mill and overlay or total replacement. A mill and overlay is a method of repaving where cracked, worn and failed pavement is mechanically removed or milled until sound pavement is found. A new layer of asphalt is overlaid atop the remaining base course of pavement. Total replacement includes the removal of all existing asphalt down to the base course of aggregate and native soil followed by the application of two or more new lifts of asphalt. We recommend mill and overlayment on asphalt pavement that exhibits normal deterioration and wear. We recommend total replacement of asphalt pavement that exhibits severe deterioration, inadequate drainage, pavement that has been overlaid multiple times in the past or where the configuration makes overlayment not possible. Based on the apparent visual condition and configuration of the asphalt pavement, we recommend the mill and overlay method of repaving at Coolfont.

Preventative Maintenance Notes: We note the following select recommended preventative maintenance activities to maximize the remaining useful life:

- Annually:
    - Inspect for settlement, large cracks and trip hazards, and ensure proper drainage
    - Repair areas which could cause vehicular damage such as potholes
- As needed:
    - Perform crack repairs and patching

Priority/Criticality: Defer only upon opinion of independent professional or engineer

Expenditure Detail Notes: Expenditure timing and costs are depicted in the ***Reserve Expenditures*** table in Section 3. Our cost includes an allowance for crack repairs and patching of up to two percent (2%) of the pavement. Our cost for milling and overlayment includes area patching of up to ten percent (10%). Based on the extent of the noted conditions, we recommend the Association budget for mill and overlayment of up to twenty percent (20%) of the streets every four years.

Bridge and Steps, Wood

Line Item: 4.098

Quantity: The Association maintains one wood pedestrian bridge at the trail system and steps leading up to the pool area.

History: The wood components are unknown age with repairs conducted approximately in 2020 including partial deck board replacement.

Condition: Good to fair overall with insect damage and wood deterioration evident

Trail bridge overview

Wood decking at pool area

Insect damage at bridge

Wood deterioration

Useful Life: 20- to 25-years. The rates and types of deterioration are not uniform due to the nature of wood. Replacement is normally an ongoing process which eventually leads to a complete replacement for economic or aesthetic reasons.

Component Detail Notes: Bridge and stair construction includes the following:

- Deck boards fastened with nails. Nail fasteners have a tendency to pull out as the wood warps.
- Wood railings with vertical pickets
- No toe-nailed connections

Preventative Maintenance Notes: We note the following select recommended preventative maintenance activities to maximize the remaining useful life:

- Annually:
    - Inspect to identify and correct any unsafe conditions
    - Secure loose fasteners and replace deteriorated fasteners
    - Replace deteriorated wood components
    - Check railing stability and fasteners
- Every three years:
    - Power wash with algaecide and application of sealer/stain if applicable

Priority/Criticality: Defer only upon opinion of independent professional or engineer

Expenditure Detail Notes: Expenditure timing and costs are depicted in the ***Reserve Expenditures*** table in Section 3. We recommend the Association budget for interim deck board replacement and repairs through the operating budget.

Culverts

Line Item: 4.300

Quantity: The Association maintains culverts throughout the community adjacent to the street system.

History: Various unknown ages. Partial replacements were last conducted in 2019.

Condition: Good to fair with partially flattened culverts evident.

Culverts overview

Culvert overview

Culvert overview

Partially flattened culvert

Partially flattened culvert

Useful Life: Up to and beyond 55 years

Priority/Criticality: Defer only upon opinion of independent professional or engineer

Expenditure Detail Notes: Expenditure timing and costs are depicted in the ***Reserve Expenditures*** table in Section 3. We do not anticipate the need to replace one-hundred percent (100%) of the culverts in the next 30 years. Therefore, we include a budgetary allowance for partial culvert replacement every eight years beginning in 2030. The exact times and costs of these activities may vary. However, we judge the amounts shown in the ***Reserve Expenditures*** table sufficient to budget appropriate reserves.

Forest, Partial Replacements and Pest Control

Line Item: 4.375

Component Detail Notes: The Association maintains the wooded areas and forest throughout the property. The Association desires to remove any dead and dangerous trees identified throughout the property. Additionally, the Association reports pest issues including insects which require immediate removal to avoid further issues.

Useful Life: At the request of the Board, we include a landscape allowance for partial replacements every five years.

Priority/Criticality: Per Board discretion

Expenditure Detail Notes: Expenditure timing and costs are depicted in the ***Reserve Expenditures*** table in Section 3. Future updates to this report will re-evaluate our allowance and timing for partial replacements and pest control.

Gravel Roads, Regrading and Replenishment

Line Items: 4.400 and 4.402

Quantity: The Association maintains approximately 25,900 square yards of gravel roads throughout the community.

History: The Association installed the road adjacent to the pool area and office in 2024. We are informed the Association budgeted for a total regrading and replenishment of the gravel roads in 2025. Following this, the Association plans to regrade and replenish up to twenty-five percent (25%) of the roads annually.

Condition: Fair overall with washout and erosion evident.

Gravel road overview

Washout and erosion

Washout and erosion

Washout

Useful Life: Based on conversations with the Association, we budget for regrading and replenishment of up to twenty-five percent (25%) of the gravel roads every year.

Priority/Criticality: Defer only upon opinion of independent professional or engineer

Expenditure Detail Notes: Expenditure timing and costs are depicted in the ***Reserve Expenditures*** table in Section 3. Our cost is based on information provided by the Association. Future updates to this report will determine the need to adjust the allowance allocated for regrading and replenishment along with the timing of events.

Mailbox Stations

Line Item: 4.600

Quantity: Six stations adjacent to the tennis courts

History: The mailboxes vary in age from 2014 to 2021

Condition: Good overall

Mailboxes overview

Useful Life: Up to 25 years

Preventative Maintenance Notes: We note the following select recommended preventative maintenance activities to maximize the remaining useful life:

- As-needed:
  - Inspect and repair damage, vandalism, and finish deterioration
  - Verify posts are anchored properly

Priority/Criticality: Per Board discretion

Expenditure Detail Notes: Expenditure timing and costs are depicted in the ***Reserve Expenditures*** table in Section 3.

Pipes, Subsurface Utilities

Line Item: 4.650

Quantity: The Association maintains the subsurface utility pipes throughout the property beyond the customer service connection. The exact amounts and locations of the subsurface utility pipes were not ascertained due to the nature of the underground construction and the non-invasive nature of the inspection.

Condition: Reported satisfactory at the time of our inspection

Useful Life: Up to and likely beyond 85 years

Component Detail Notes: The Association maintains the subsurface utility pipes throughout the property. The exact amounts and locations of the subsurface utility pipes were not ascertained due to the nature of the underground construction and the non-invasive nature of the inspection.

Preventative Maintenance Notes: We note the following select recommended preventative maintenance activities to maximize the remaining useful life:

- As-needed:
    - Video inspect waste pipes for breaks and damaged piping
    - Monitor for water leaks through pressure losses and present odors
    - Partially replace damaged section of pipes

Priority/Criticality: Defer only upon opinion of independent professional or engineer

Expenditure Detail Notes: Expenditure timing and costs are depicted in the ***Reserve Expenditures*** table in Section 3. At this time we do not anticipate replacement of continuous lengths of subsurface utility pipes. Rather we recommend the Association budget for repairs to isolated occurrences of breached utilities. Although it is likely that the times of replacement and extent of repair costs may vary from the budgetary allowance, Coolfont could budget sufficient reserves for these utility repairs and have the opportunity to adjust its future reserves up or down to meet any changes to these budgetary estimates. Updates of this Reserve Study would incorporate changes to budgetary costs through a continued historical analysis of the rate of deterioration and actual repairs to budget sufficient reserves.

Playground Equipment

Line Item: 4.660

Quantity: One playset located at the field at the rear of the office.

History: Replaced in 2021

Condition: Good to fair overall with chain rust at the swings.

Playset overview

Chain rust at swing

Useful Life: Up to 15 years

Component Detail Notes: Safety is the major purpose for maintaining playground equipment. We recommend an annual inspection of the playground equipment to identify and repair as normal maintenance loose connections and fasteners or damaged elements. We suggest the Association learn more about the specific requirements of playground equipment at PlaygroundSafety.org. We recommend the use of a specialist for the design or replacement of the playground equipment environment.

Preventative Maintenance Notes: We note the following select recommended preventative maintenance activities to maximize the remaining useful life:

- Annually:
  - Inspect and repair loose connections and fasteners or damaged elements

Priority/Criticality: Defer only upon opinion of independent professional or engineer

Expenditure Detail Notes: Expenditure timing and costs are depicted in the ***Reserve Expenditures*** table in Section 3. Our cost is based on information provided by the Association.

Septic System

Line Item: 4.780

Quantity: The Association maintains two 1,000 gallon septic tanks at the Office Building connected to the community effluent collection system. The Association maintains two septic tanks at the Barn connected to a leech field.

History: The office tanks were installed approximately in 2001. The barn tanks are unknown ages.

Condition: Reported in satisfactory overall condition

Useful Life: Wastewater pipes and septic tanks have indeterminately long useful lives. Therefore, we do not anticipate replacement during the next 30 years. Due to eventual soil saturation and the inability of the soil to treat the wastewater, the drain field has a useful life of up to 30 years. However, this useful life can vary depending on maintenance, use of the system, the type of soil and maintenance or removal of surrounding vegetation over the drain fields.

Preventative Maintenance Notes: We note the following select recommended preventative maintenance activities to maximize the remaining useful life:

- Annually:
    - Inspect the septic tank
    - Monitor use of water. High water use may overload the septic system and decrease the system's efficiency.
    - Ensure proper disposal of elements in the septic system
    - Clean and replace filter as needed
    - Ensure downspouts, sump pumps and other storm water conveying systems direct storm water away from the drainage field to prevent saturation. Once the soil of the drain field is saturated, the septic system will no longer function and the result is saturated turf with standing wastewater.
- Every three years:
    - Pumping of the septic tank

Priority/Criticality: Defer only upon opinion of independent professional or engineer

Expenditure Detail Notes: Expenditure timing and costs are depicted in the ***Reserve Expenditures*** table in Section 3. Our estimate of future cost considers only that amount necessary to duplicate the same functionality of the existing drain field. Local codes or ordinances at the actual time of replacement may require a betterment as compared to the existing system. A betterment could result in a higher, but at this time, unknown adjustment in cost of replacement. We recommend the Association contract with the appropriate entity for the design, estimated cost and implementation of a new drain field at the time of replacement.

Signage, Entrance Monument

Line Item: 4.800

Quantity: The property identification signage includes the following elements:

- Wood decking and railings
- Wood fences
- Wood pergola
- Landscaping

- Letters

History: The monument is reported original to between 1991 and 1992 with paint finish applications and partial repairs last conducted in 2020 and partial letter replacement within the last three years. The Association plans to replace only the wood fences holding the letters with a composite or vinyl sign in 2026.

Condition: Good to fair overall with finish deterioration and wood deterioration evident.

Entrance monument overview

Pergola and wood decking overview

Finish deterioration

Finish deterioration

Finish deterioration

Wood deterioration

Useful Life: 15- to 20-years

Component Detail Notes: Community signage contributes to the overall aesthetic appearance of the property to owners and potential buyers. Renovation or replacement of community signs is often predicated upon the desire to "update" the perceived identity of the community rather than for utilitarian concerns. Therefore, the specific times for replacement or renovation are discretionary.

Preventative Maintenance Notes: We note the following select recommended preventative maintenance activities to maximize the remaining useful life:

- Annually:
    - Inspect and repair damage, vandalism and loose components
    - Verify lighting is working properly
    - Touch-up paint finish applications if applicable

Priority/Criticality: Per Board discretion

Expenditure Detail Notes: Expenditure timing and costs are depicted in the ***Reserve Expenditures*** table in Section 3. Our cost for near term renovation includes replacement of the sign and partial repairs to the wood elements. Our cost for subsequent renovation includes the following:

- Replacement of the wood decking and railings
- Replacement of the wood pergola
- Landscaping as needed

Future updates to this study will re-evaluate our cost for renovation following replacement of the wood fence with a composite or vinyl sign.

Site Furniture

Line Item: 4.820

Quantity: The site furniture includes the following:

- Benches
- Picnic tables

History: The Association installed three new benches in 2024. The remaining furniture is known ages.

Condition: A portion of the furniture is in good overall condition. However, a portion of the furniture is in fair overall condition with wood deterioration evident.

Bench overview

Picnic table overview

Wood deterioration

Useful Life: 15- to 25-years

Priority/Criticality: Per Board discretion

Expenditure Detail Notes: Expenditure timing and costs are depicted in the ***Reserve Expenditures*** table in Section 3. Due to the various ages, we include an allowance for replacement of up to fifty percent (50%) of the furniture every event.

Tennis and Basketball Courts, Fence

Line Item: 4.855

Quantity: At the time of our inspection, approximately 810 linear feet of fences enclose the tennis and basketball courts. The Association informs us they plan to replace the courts with approximately half the current surface area. Based on conversations, we estimate approximately 480 linear feet of fencing will be installed around the court surface. Future updates to this report will re-measure the fences following replacement.

History: Unknown ages

Condition: Poor overall with extensive rust, missing fence and warped webbing evident. Based on conversations and at the request of the Board, we defer replacement of the fence to 2028 due to project prioritization. We recommend the Association restrict access to the courts to avoid potential injuries.

Fence overview

Fence rust

Post and fence rust

Post and fence rust

Missing fence

Warped webbing

Useful Life: Up to 25 years

Priority/Criticality: Per Board discretion

Expenditure Detail Notes: Expenditure timing and costs are depicted in the ***Reserve Expenditures*** table in Section 3.

Tennis and Basketball Courts, Stairs, Wood

Line Item: 4.858

Quantity/History: The Association removed the stairs leading from the mailboxes to the tennis and basketball courts with plans to install a new set of wood stairs at the time of the tennis and basketball court surface replacement. Based on conversations, the Association plans to install a set of stairs with approximately the same measurements as the prior stairs.

Condition: We assume the stairs will be in good overall condition following installation

Useful Life: 20- to 25-years. The rates and types of deterioration are not uniform due to the nature of wood. Replacement is normally an ongoing process which eventually leads to a complete replacement for economic or aesthetic reasons.

Component Detail Notes: Bridge and stair construction includes the following:

- Deck boards fastened with nails. Nail fasteners have a tendency to pull out as the wood warps.
- Wood railings with vertical pickets
- No toe-nailed connections

Preventative Maintenance Notes: We note the following select recommended preventative maintenance activities to maximize the remaining useful life:

- Annually:
    - Inspect to identify and correct any unsafe conditions
    - Secure loose fasteners and replace deteriorated fasteners
    - Replace deteriorated wood components
    - Check railing stability and fasteners
- Every three years:
    - Power wash with algaecide and application of sealer/stain if applicable

Priority/Criticality: Defer only upon opinion of independent professional or engineer

Expenditure Detail Notes: Expenditure timing and costs are depicted in the ***Reserve Expenditures*** table in Section 3. Our cost is based on measurements received in our prior study. We recommend the Association budget for interim deck board replacement and repairs through the operating budget. Future updates to this report will re-evaluate our costs and useful life following installation.

Tennis and Basketball Courts, Surface

Line Items: 4.840 and 4.860

Quantity: At the time of our inspection, the Association maintained approximately 2,930 square yards of asphalt comprising three tennis courts and one basketball court. The Association informs us they plan to replace the courts surface with approximately half of the current surface. Based on conversations, we estimate approximately 1,470 square yards of asphalt will comprise the new court surface. Future updates to this report will re-measure the surface following installation.

History: Unknown ages

Condition: Poor overall with cracks and color coat deterioration evident. Based on conversations and at the request of the Board, we defer replacement of the surface to 2028 due to project prioritization. We recommend the Association restrict access to the courts to avoid potential injuries.

Tennis courts overview

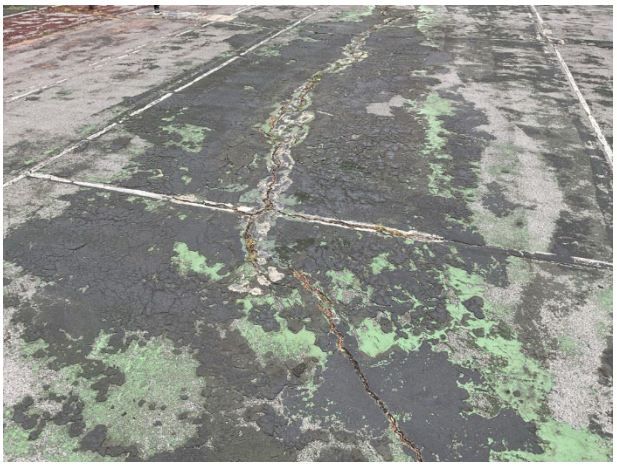
Pavement cracks and color coat deterioration

Pavement cracks and color coat deterioration

Pavement cracks and color coat deterioration

Pavement cracks and color coat deterioration

Pavement cracks and color coat deterioration



Pavement cracks and color coat deterioration

Pavement cracks and color coat deterioration

Useful Life: Four- to six-years for replacement of the surface with the benefit of color coat applications and repairs every up to 25 years

Preventative Maintenance Notes: Prior to the application of the color coat, the Association should require the contractor to rout and fill all cracks with hot emulsion. This deters water infiltration and further deterioration of the asphalt playing surface. We note the following select recommended preventative maintenance activities to maximize the remaining useful life:

- Annually:
    - Inspect and repair large cracks, trip hazards and possibly safety hazards
    - Verify gate and fencing is secure
    - Verify lighting is working properly if applicable
    - Inspect and repair standards and windscreens as needed

Priority/Criticality: Defer only upon opinion of independent professional or engineer

Expenditure Detail Notes: Expenditure timing and costs are depicted in the ***Reserve Expenditures*** table in Section 3.

Pool Elements

Main pool overview

Wading pool overview

Hot tub overview

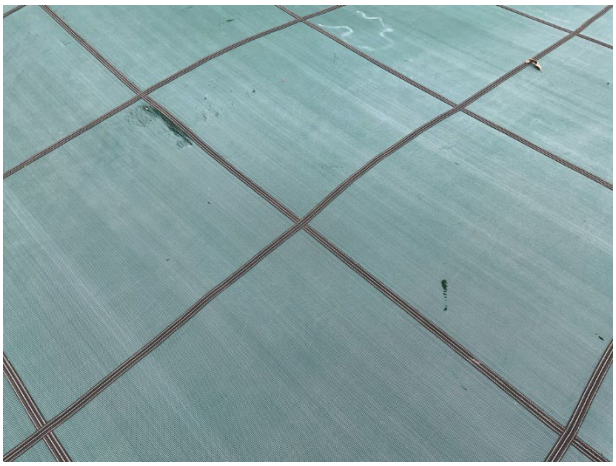
Covers, Vinyl

Line Item: 6.150

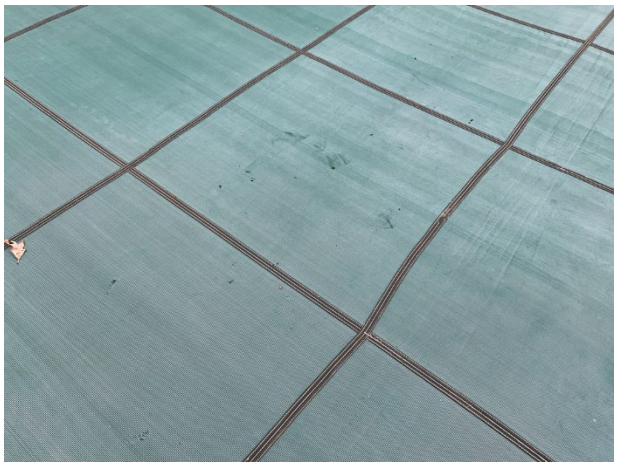
Quantity: Approximately 2,270 square feet comprise the three pool covers

History: Reportedly last replaced between 2005 and 2006. The Association plans to coordinate the replacement of the covers with the pool deck in 2027 or later. For the purposes of our study, we include these costs in 2027. Future updates to this report will re-evaluate the remaining useful lives of these elements following replacement.

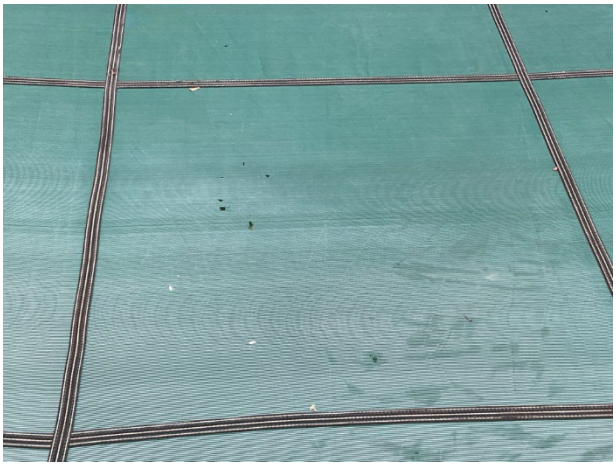
Condition: Fair to poor overall with tears and color fade evident. Based on conversations with the Association, we defer the replacement of the covers to coordinate with the pool deck.



Cover tears



Cover tears



Cover tears

Color fade

Useful Life: 8- to 10-years

Priority/Criticality: Per Board discretion

Expenditure Detail Notes: Expenditure timing and costs are depicted in the ***Reserve Expenditures*** table in Section 3. Our cost is based on information provided by the Association.

Decks and Walls, Flagstone Pavers

Line Items: 6.200 and 6.205

Quantity: Approximately 1,920 square feet of horizontal surface comprise the flagstone paver deck, and approximately 530 square feet of vertical surface comprise the flagstone walls at the pool area. This quantity includes the stairs leading up to the hot tub.

History: Reported original to 1984 with repairs including repointing conducted last approximately in 2020. The Association budgeted to conduct partial repointing in 2025.

Additionally, the Association is considering replacing the horizontal pool deck entirely with concrete including installation of new coping stones around the pools and hot tub in 2027 or later. For the purposes of our study, we include these costs in 2027. Future updates to this report will re-evaluate the remaining useful lives of these elements following replacement. Additionally, we assume the concrete deck will be installed with a similar footprint and include an allowance for replacement with a horizontal surface area of approximately 1,920 square feet. We continue to include an allowance for repairs to the approximate 530 square feet of flagstone pavers comprising the walls.

Condition: Fair overall with mortar cracks, mortar deterioration and efflorescence evident. We note several stones adjacent to the noted conditions loose while walking atop the deck.

Flagstone pavers overview

Flagstone stairs with efflorescence

Flagstone paver walls overview

Mortar cracks and deterioration

Mortar cracks and deterioration

Mortar cracks and deterioration

Mortar cracks and deterioration

Efflorescence

Useful Life: The useful life of a concrete pool deck is up to 60 years or more with timely repairs. We recommend the Association conduct inspections, partial replacements and repairs to the deck every 8- to 12-years.

Preventative Maintenance Notes: We note the following select recommended preventative maintenance activities to maximize the remaining useful life:

- Annually:
    - Inspect and repair settlement, trip hazards and significant paver spall
    - Reset and/or reseal damaged pavers as necessary
    - Periodically clean and remove overgrown vegetation as needed

Priority/Criticality: Defer only upon opinion of independent professional or engineer

Expenditure Detail Notes: Expenditure timing and costs are depicted in the ***Reserve Expenditures*** table in Section 3. We recommend the Association fund interim inspections, partial replacements and repairs through the operating budget. We recommend the Association budget for the following per event following replacement of the pool deck with concrete:

- Selective cut out and replacements of up to one percent (1%) of concrete
- Crack repairs as needed
- Mortar joint repairs
- Repointing and partial replacement of the flagstone walls
- Caulk replacement

Fence, Chain Link

Line Item: 6.400

Quantity: Approximately 600 linear feet at the perimeter of the pool area and enclosing the mechanical equipment.

History: Unknown age. Reportedly installed prior to 2002. The Association replaced a portion of the fence in 2024, and repaired the fencing at the pool equipment area in 2025 including partial replacements.

Condition: Fair overall with bent upper rails, loose rails, leaning posts, warped webbing and finish deterioration evident. The Association informs us the sections of loose rails, leaning posts, warped webbing and finish deterioration at the pool mechanical equipment area has been repaired including partial replacements in 2025 following our inspection. We assume the fence is in good to fair overall condition following these repairs.

Fence at mechanical equipment at the time of our inspection

Gate overview

Fence overview

Bent upper rail

Loose rails, leaning post and warped webbing – Note: the Association informs us this section of fencing has been replaced following our inspection

Loose upper rail, warped webbing and finish deterioration – Note: the Association informs us this section of fencing has been replaced following our inspection

Warped webbing

Repaired fence at pool mechanical equipment area – Note: photo provided by Association

Useful Life: Up to 25 years

Preventative Maintenance Notes: We note the following select recommended preventative maintenance activities to maximize the remaining useful life:

- Annually:
  - Inspect and repair loose sections, and damage
  - Repair leaning sections and clear vegetation from fence areas which could cause damage

Priority/Criticality: Not recommended to defer

Expenditure Detail Notes: Expenditure timing and costs are depicted in the ***Reserve Expenditures*** table in Section 3. Our cost for 2025 is based on information provided by the Association and includes partial replacements of the fencing at the pool mechanical equipment area.

Fence, Metal

Line Item: 6.402

Quantity: Approximately 60 linear feet at the elevated hot tub attached to the flagstone wall.

History: Unknown age

Condition: Good to fair overall

Fence overview

Finish deterioration and rust

Useful Life: Up to 35 years

Preventative Maintenance Notes: We note the following select recommended preventative maintenance activities to maximize the remaining useful life:

- Annually:
  - Inspect and repair loose fasteners or sections, and damage

- Repair leaning sections and clear vegetation from fence areas which could cause damage

Priority/Criticality: Not recommended to defer

Expenditure Detail Notes: Expenditure timing and costs are depicted in the ***Reserve Expenditures*** table in Section 3.

Furniture

Line Item: 6.500

Quantity: The pool furniture includes the following:

- Chairs
- Lounges
- Tables
- Umbrellas
- Fly traps
- Pool rods and hooks
- Pool vacuum
- Game sets including horseshoe, corn hole, bocce ball, and croquet

History: Various ages. A portion of the furniture was replaced in 2024, and the chairs and loungers were replaced in 2025 following our inspection.

Condition: Reported good to fair overall. At the time of our inspection the majority of the furniture was in storage.

Picnic tables overview

Useful Life: Up to 12 years

Priority/Criticality: Per Board discretion

Expenditure Detail Notes: Expenditure timing and costs are depicted in the ***Reserve Expenditures*** table in Section 3. Based on varying ages, we recommend phased replacement of up to fifty percent (50%) of the furniture per event. Our cost for 2025 is based on information provided by the Association and includes the chairs and loungers.

Mechanical Equipment, Pavilion

Line Item: 6.599

Quantity: The Association budgeted for installation of a pavilion to protect the mechanical equipment in 2026.

Condition: We assume the pavilion will be in good overall condition following installation.

Useful Life: Up to 25 years with periodic maintenance

Priority/Criticality: Per Board discretion

Expenditure Detail Notes: Expenditure timing and costs are depicted in the ***Reserve Expenditures*** table in Section 3. Future updates to this study will re-evaluate the useful life of the pavilion following installation.

Mechanical Equipment

Line Items: 6.598 and 6.600

Quantity: The mechanical equipment includes the following:

- Automatic chlorinators and controls
- Heaters
- Interconnected pipe, fittings and valves
- Pumps and filters

History: Various ages. The heaters were replaced approximately in 2018, one filter was replaced in 2022, and two pumps replaced in 2024.

Condition: Reported mostly satisfactory operational conditions

Mechanical equipment overview

Useful Life: Up to 15 years

Preventative Maintenance Notes: We recommend the Association maintain a maintenance contract with a qualified professional and follow the manufacturer's specific recommended maintenance and local, state and/or federal inspection guidelines.

Priority/Criticality: Defer only upon opinion of independent professional or engineer

Expenditure Detail Notes: Expenditure timing and costs are depicted in the *Reserve Expenditures* table in Section 3. Failure of the pool mechanical equipment as a single event is unlikely. Therefore, we include replacement of up to fifty percent (50%) of the equipment per event. We consider interim replacement of motors and minor repairs as normal maintenance.

Pool Finishes, Plaster and Tile and Coping

Line Items: 6.800 and 6.801

Quantity: Approximately 2,080 square feet of plaster based on the horizontal surface area and approximately 270 linear feet of tile at the time of our inspection. Based on conversations with the Board, we include an allowance for an additional 270 linear feet of coping following replacement of the pool deck.

History: The plaster was replaced in 2021. The Association plans to replace the tile in the near term.

Condition: The tile is reported in fair overall condition and the plaster is reported in good overall condition.

Useful Life: 8- to 12-years for the plaster and 15- to 25-years for the tile and coping

Preventative Maintenance Notes: We note the following select recommended preventative maintenance activities to maximize the remaining useful life:

- Semi-annually:
    - Inspect and patch areas of significant plaster delamination, coping damage and structure cracks
    - Inspect main drain connection and anti-entrapment covers, pressure test circulation piping and valves
    - Test handrails and safety features for proper operation

Priority/Criticality: Defer only upon opinion of independent professional or engineer

Expenditure Detail Notes: Expenditure timing and costs are depicted in the ***Reserve Expenditures*** table in Section 3. We recommend the Association budget for full tile replacement every other plaster replacement event. Removal and replacement of the finish provides the opportunity to inspect the pool structures and to allow for partial repairs of the underlying concrete surfaces as needed. To maintain the integrity of the pool structures, we recommend the Association budget for the following:

- Removal and replacement of the plaster finishes
- Partial replacements of the scuppers and coping as needed
- Replacement of tiles as needed
- Replacement of joint sealants as needed
- Concrete structure repairs as needed

We include replacement of the plaster in conjunction with the near-term tile replacement as the plaster will need to be partially removed to remove the tile. Our cost for plaster replacement is based on information provided by the Association.

Shed

Line Item: 6.850

Quantity: The Association maintains one shed at the pool area

History: Unknown age; the Association plans to replace the shed with a prefabricated shed in the near term.

Condition: Good to fair overall with curled shingles, organic growth, wood rot, wood deterioration and insect damage evident.

Shed overview

Curled shingles and organic growth

Wood rot and deterioration

Wood rot and deterioration

Insect damage

Useful Life: 20- to 25-years

Priority/Criticality: Per Board discretion

Expenditure Detail Notes: Expenditure timing and costs are depicted in the ***Reserve Expenditures*** table in Section 3.

Structures and Deck

Line Item: 6.900

Quantity: 2,080 square feet of horizontal surface area comprises the main pool, wading pool and hot tub.

History: Installed in 1984

Conditions: Visually appear in good condition. The concrete floors and walls have a plaster finish. This finish makes it difficult to thoroughly inspect the concrete structures during a noninvasive visual inspection.

Useful Life: Up to 65 years

Component Detail Notes: The need to replace a pool structure depends on the condition of the concrete structure, the condition of the embedded or concealed water circulation piping, possible long term uneven settlement of the structure, and the increasing cost of repair and maintenance. Deterioration of any one of these component systems could result in complete replacement of the pool. For example, deferral of a deteriorated piping system could result in settlement and cracks in the pool structure. This mode of failure is more common as the system ages and deterioration of the piping system goes undetected. For reserve budgeting purposes, we recommend Coolfont plan to replace the following components:

- Concrete deck
- Pool structures
- Subsurface piping

Priority/Criticality: Defer only upon opinion of independent professional or engineer

Expenditure Detail Notes: Expenditure timing and costs are depicted in the ***Reserve Expenditures*** table in Section 3.

Reserve Study Update

An ongoing review by the Board and an Update of this Reserve Study are necessary to ensure an equitable funding plan since a Reserve Study is a snapshot in time. Many variables change after the study is conducted that may result in significant overfunding or underfunding the reserve account. Variables that may affect the Reserve Funding Plan include, but are not limited to:

- Deferred or accelerated capital projects based on Board discretion
- Changes in the interest rates on reserve investments
- Changes in the *local* construction inflation rate
- Additions and deletions to the Reserve Component Inventory
- The presence or absence of maintenance programs
- Unusually mild or extreme weather conditions
- Technological advancements

Periodic updates incorporate these variable changes since the last Reserve Study or Update. We recommend the Board budget for an Update to this Reserve Study every three years. Budgeting for an Update demonstrates the Board's objective to continue fulfilling its fiduciary responsibility to maintain the commonly owned property and to fund reserves appropriately.

5. METHODOLOGY

Reserves for replacement are the amounts of money required for future expenditures to repair or replace Reserve Components that wear out before the entire facility or project wears out. Reserving funds for future repair or replacement of the Reserve Components is also one of the most reliable ways of protecting the value of the property's infrastructure and marketability.

Coolfont can fund capital repairs and replacements in any combination of the following:

1. Increases in the operating budget during years when the shortages occur
2. Loans using borrowed capital for major replacement projects
3. Level annual reserve assessments annually adjusted upward for inflation to increase reserves to fund the expected major future expenditures
4. Special assessments

We do not advocate special assessments or loans unless near term circumstances dictate otherwise. Although loans provide a gradual method of funding a replacement, the costs are higher than if the Association were to accumulate reserves ahead of the actual replacement. Interest earnings on reserves also accumulate in this process of saving or reserving for future replacements, thereby defraying the amount of gradual reserve collections. We advocate the third method of *Level Monthly Reserve Assessments* with relatively minor annual adjustments. The method ensures that Owners pay their "fair share" of the weathering and aging of the commonly owned property each year. Level reserve assessments preserve the property and enhance the resale value of the homes.

This Reserve Study is in compliance with and exceeds the National standards[1] set forth by the Association of Professional Reserve Analysts (APRA) fulfilling the requirements of a "Level II Reserve Study Update." These standards require a Reserve Component to have a "predictable remaining Useful Life." Estimating Remaining Useful Lives and Reserve Expenditures beyond 30 years is often indeterminate. Long-Lived Property Elements are necessarily excluded from this analysis. We considered the following factors in our analysis:

- The Cash Flow Method to compute, project and illustrate the 30-year Reserve Funding Plan
- Local[2] costs of material, equipment and labor
- Current and future costs of replacement for the Reserve Components
- Costs of demolition as part of the cost of replacement
- Local economic conditions and a historical perspective to arrive at our estimate of long-term future inflation for construction costs in Berkeley Springs, West Virginia at an annual inflation rate[3]. Isolated or regional

[1] Identified in the APRA "Standards - Terms and Definitions" and the CAI "Terms and Definitions".
[2] See Credentials for additional information on our use of published sources of cost data.
[3] Derived from Marshall & Swift, historical costs and the Bureau of Labor Statistics.

markets of greater construction (development) activity may experience slightly greater rates of inflation for both construction materials and labor.

- The past and current maintenance practices of Coolfont and their effects on remaining useful lives
- Financial information provided by the Association pertaining to the cash status of the reserve fund and budgeted reserve contribution
- The anticipated effects of appreciation of the reserves over time in accord with a return or yield on investment of your cash equivalent assets. (We did not consider the costs, if any, of Federal and State Taxes on income derived from interest and/or dividend income).
- The Funding Plan excludes necessary operating budget expenditures. It is our understanding that future operating budgets will provide for the ongoing normal maintenance of Reserve Components.

Updates to this Reserve Study will continue to monitor historical facts and trends concerning the external market conditions.

6. CREDENTIALS

HISTORY AND DEPTH OF SERVICE

Founded in 1991, Reserve Advisors is the leading provider of reserve studies, insurance appraisals, developer turnover transition studies, expert witness services, and other engineering consulting services. Clients include community associations, resort properties, hotels, clubs, non-profit organizations, apartment building owners, religious and educational institutions, and office/commercial building owners in 48 states, Canada and throughout the world.

The **architectural engineering consulting firm** was formed to take a leadership role in helping fiduciaries, boards, and property managers manage their property like a business with a long-range master plan known as a Reserve Study.

Reserve Advisors employs the **largest staff of Reserve Specialists** with bachelor's degrees in engineering dedicated to Reserve Study services. Our founders are also founders of Community Associations Institute's (CAI) Reserve Committee that developed national standards for reserve study providers. One of our founders is a Past President of the Association of Professional Reserve Analysts (APRA). Our vast experience with a variety of building types and ages, on-site examination and historical analyses are keys to determining accurate remaining useful life estimates of building components.

No Conflict of Interest - As consulting specialists, our **independent opinion** eliminates any real or perceived conflict of interest because we do not conduct or manage capital projects.

TOTAL STAFF INVOLVEMENT

Several staff members participate in each assignment. The responsible advisor involves the staff through a Team Review, exclusive to Reserve Advisors, and by utilizing the experience of other staff members, each of whom has served hundreds of clients. We conduct Team Reviews, an internal quality assurance review of each assignment, including: the inspection; building component costing; lifing; and technical report phases of the assignment. Due to our extensive experience with building components, we do not have a need to utilize subcontractors.

OUR GOAL

To help our clients fulfill their fiduciary responsibilities to maintain property in good condition.

VAST EXPERIENCE WITH A VARIETY OF BUILDINGS

Reserve Advisors has conducted reserve studies for a multitude of different communities and building types. We've analyzed thousands of buildings, from as small as a 3,500-square foot day care center to a 2,600,000-square foot 98-story highrise. We also routinely inspect buildings with various types of mechanical systems such as simple electric heat, to complex systems with air handlers, chillers, boilers, elevators, and life safety and security systems.

We're familiar with all types of building exteriors as well. Our well-versed staff regularly identifies optimal repair and replacement solutions for such building exterior surfaces such as adobe, brick, stone, concrete, stucco, EIFS, wood products, stained glass and aluminum siding, and window wall systems.

OLD TO NEW

Reserve Advisors' experience includes ornate and vintage buildings as well as modern structures. Our specialists are no strangers to older buildings. We're accustomed to addressing the unique challenges posed by buildings that date to the 1800's. We recognize and consider the methods of construction employed into our analysis. We recommend appropriate replacement programs that apply cost effective technologies while maintaining a building's character and appeal.

BENJAMIN G. GUGGEIS
Engineer, Northeast Region
Responsible Advisor

CURRENT CLIENT SERVICES

Benjamin G. Guggeis, a Mechanical Engineer, is an Advisor for Reserve Advisors, LLC. Mr. Guggeis is responsible for inspection and analysis of the condition of clients' properties, and recommending engineering solutions to prolong the lives of the components. He also forecasts capital expenditures for the repair and/or replacement of the property components and prepares technical reports on assignments. He is responsible for conducting Life Cycle Cost Analyses and Capital Replacement Forecast services and the preparation of Reserve Study and Transition Study Reports for apartments, high rises, condominiums, townhomes, and homeowner associations.

The following is a partial list of clients served by Benjamin Guggeis demonstrating his breadth of experiential knowledge of community associations in construction and related buildings systems.

Eagle's Pointe Homeowners Association – Located in Woodbridge Virginia, this community consists of 1,052 single family homes. Residents enjoy an extensive clubhouse accompanied by two pools and exercise room, as well as any of 16 playgrounds and exercise stations located throughout the community. The property also features a plethora of retaining walls, totaling over 40,000 square feet.

Council of Unit Owners of Mutual 14 Condominium of Rossmoor, Inc. – Located in Silver Spring, Maryland, this community built in 1977 consists of 193 units comprising a combination of condominiums and townhomes. Residents of the condominiums have access to carport parking areas directly adjacent to the buildings along with concrete and metal structural catwalks at each elevation accessible via both stairwells and elevators.

Boca Grande Condominium – Located in Ocean City, Maryland, this midrise built in 1973 consists of five stories adjacent to the Atlantic Ocean. Each unit contains private balconies or patios overlooking the beach.

South Village Homeowners Association – Located in Chantilly, Virginia, this community consists of 429 units comprising a combination of single family homes and townhomes. Residents enjoy a beautiful park with a large fountain centerpiece surrounded by paver patios and paths, pergolas and monuments. Along with a private pool, three playgrounds, two tennis courts and a single basketball court, residents have plenty to enjoy on site.

Thompson Creek Town Home Association – Located in Stevensville, Maryland, this community consists of 54 units in eight buildings. A portion of the community is responsible for maintaining a wood dock at their marina. The community shares responsibility of maintenance and replacement for their pool, clubhouse, and site components with the neighboring Association.

PRIOR RELEVANT EXPERIENCE

Before joining Reserve Advisors, LLC, Mr. Guggeis attended West Virginia University's Benjamin M. Statler College of Engineering and Mineral Resources in Morgantown, West Virginia where he attained his Bachelor of Science degree in Mechanical Engineering. His work outside of the classroom involved concrete construction, aiding in both construction and repairs for residential and commercial properties and a mechanic on Black Hawk helicopters working on both mechanical and electrical systems of the aircraft.

EDUCATION

West Virginia University - B.S. Mechanical Engineering

NICHOLAS R. JULIA, RS
Regional Engineering Manager, Northeast Region

CURRENT CLIENT SERVICES

Nicholas R. Julia, a Civil Engineer, is an Advisor for Reserve Advisors, LLC. Mr. Julia is responsible for the inspection and analysis of the condition of clients' property, and recommending engineering solutions to prolong the lives of the components. He also forecasts capital expenditures for the repair and/or replacement of the property components and prepares technical reports on assignments. He is responsible for conducting Life Cycle Cost Analysis and Capital Replacement Forecast services and the preparation of Reserve Study Reports for condominiums, townhomes and homeowner associations. Nicholas Julia often serves as Quality Assurance Reviewer for all types of developments to ensure our reports maintain the level of quality which is expected of our firm.

The following is a partial list of clients served by Nicholas Julia demonstrating his breadth of experiential knowledge of community associations in construction and related buildings systems.

One Park Crest Condominium is an upscale 19-story high rise building located in McLean, Virginia just outside of Washington, D.C. Residents enjoy an 18th floor club room and outdoor pool. The building also contains an exercise room, library, professionally decorated lobby and underground parking.

The Maryland Club is an exclusive club located in the heart of Baltimore, Maryland. The elegant white marble main building dates back to 1892. The club contains squash courts, a banquet area, a dining hall, and a professional kitchen amongst many other amenities.

Town of St. Michaels, a scenic town located on the Eastern Shore of Maryland. The town includes an administrative building, police station, public works garage and offices, and a historic log cabin. The municipality also maintains the asphalt pavement streets throughout the town, multiple parks, two water towers and a complex arsenic removal water treatment system.

One Loudoun Neighborhood Association is an upscale planned unit development comprising townhomes and single family homes located in Ashburn, Virginia. The property includes a high-end clubhouse with over 12,000 square feet of interior space including a gymnasium and yoga studio. The property also includes walking trails, multiple playgrounds, a tennis court, sports court, and a pool.

3883 Connecticut Avenue Condominium is a 10-story midrise located in Washington, D.C. The building was constructed in 2002 and contains luxurious amenities including an elevated outdoor pool on the 8th floor, party room, exercise facility and an underground parking garage.

Lake Petersburg Association This man-made lake community of 380 single family homes is located in Petersburg, Illinois. Components of the property include a community boat launch, dock, three tennis courts, a basketball court, two maintenance buildings, an office, and vehicular equipment. The Association also maintains an earthen dam on the far side of the lake.

PRIOR RELEVANT EXPERIENCE

Before joining Reserve Advisors, Mr. Julia attended Marquette University in Milwaukee, Wisconsin where he attained his Bachelor of Science degree in Civil Engineering. His studies focused on transportation engineering and construction management engineering.

EDUCATION

Marquette University - B.S. Civil Engineering

PROFESSIONAL AFFILIATIONS / DESIGNATIONS

Engineer in Training (E.I.T.) – Washington D.C.
Reserve Specialist (RS) - Community Association Institute

ALAN M. EBERT, P.E., PRA, RS
Director of Quality Assurance

CURRENT CLIENT SERVICES

Alan M. Ebert, a Professional Engineer, is the Director of Quality Assurance for Reserve Advisors. Mr. Ebert is responsible for the management, review and quality assurance of reserve studies. In this role, he assumes the responsibility of stringent report review analysis to assure report accuracy and the best solution for Reserve Advisors' clients.

Mr. Ebert has been involved with thousands of Reserve Study assignments. The following is a partial list of clients served by Alan Ebert demonstrating his breadth of experiential knowledge of community associations in construction and related buildings systems.

Brownsville Winter Haven Located in Brownsville, Texas, this unique homeowners association contains 525 units. The Association maintains three pools and pool houses, a community and management office, landscape and maintenance equipment, and nine irrigation canals with associated infrastructure.

Rosemont Condominiums This unique condominium is located in Alexandria, Virginia and dates to the 1940's. The two mid-rise buildings utilize decorative stone and brick masonry. The development features common interior spaces, multi-level wood balconies and common asphalt parking areas.

Stillwater Homeowners Association Located in Naperville, Illinois, Stillwater Homeowners Association maintains four tennis courts, an Olympic sized pool and an upscale ballroom with commercial-grade kitchen. The community also maintains three storm water retention ponds and a detention basin.

Birchfield Community Services Association This extensive Association comprises seven separate parcels which include 505 townhome and single family homes. This Community Services Association is located in Mt. Laurel, New Jersey. Three lakes, a pool, a clubhouse and management office, wood carports, aluminum siding, and asphalt shingle roofs are a few of the elements maintained by the Association.

Oakridge Manor Condominium Association Located in Londonderry, New Hampshire, this Association includes 104 units at 13 buildings. In addition to extensive roads and parking areas, the Association maintains a large septic system and significant concrete retaining walls.

Memorial Lofts Homeowners Association This upscale high rise is located in Houston, Texas. The 20 luxury units include large balconies and decorative interior hallways. The 10-story building utilizes a painted stucco facade and TPO roof, while an on-grade garage serves residents and guests.

PRIOR RELEVANT EXPERIENCE

Mr. Ebert earned his Bachelor of Science degree in Geological Engineering from the University of Wisconsin-Madison. His relevant course work includes foundations, retaining walls, and slope stability. Before joining Reserve Advisors, Mr. Ebert was an oilfield engineer and tested and evaluated hundreds of oil and gas wells throughout North America.

EDUCATION

University of Wisconsin-Madison - B.S. Geological Engineering

PROFESSIONAL AFFILIATIONS/DESIGNATIONS

Professional Engineering License – Wisconsin, North Carolina, Illinois, Colorado
Reserve Specialist (RS) **-** Community Associations Institute
Professional Reserve Analyst (PRA) **-** Association of Professional Reserve Analysts

RESOURCES

Reserve Advisors utilizes numerous resources of national and local data to conduct its Professional Services. A concise list of several of these resources follows:

Association of Construction Inspectors, (ACI) the largest professional organization for those involved in construction inspection and construction project management. ACI is also the leading association providing standards, guidelines, regulations, education, training, and professional recognition in a field that has quickly become important procedure for both residential and commercial construction, found on the web at www.iami.org.

American Society of Heating, Refrigerating and Air-Conditioning Engineers, Inc., (ASHRAE) the American Society of Heating, Refrigerating and Air-Conditioning Engineers, Inc., devoted to the arts and sciences of heating, ventilation, air conditioning and refrigeration; recognized as the foremost, authoritative, timely and responsive source of technical and educational information, standards and guidelines, found on the web at www.ashrae.org. Reserve Advisors actively participates in its local chapter and holds individual memberships.

Community Associations Institute, (CAI) America's leading advocate for responsible communities noted as the only national organization dedicated to fostering vibrant, responsive, competent community associations. Their mission is to assist community associations in promoting harmony, community, and responsible leadership.

Marshall & Swift / Boeckh, (MS/B) the worldwide provider of building cost data, co-sourcing solutions, and estimating technology for the property and casualty insurance industry found on the web at www.marshallswift.com.

R.S. Means CostWorks, North America's leading supplier of construction cost information. As a member of the Construction Market Data Group, Means provides accurate and up-to-date cost information that helps owners, developers, architects, engineers, contractors and others to carefully and precisely project and control the cost of both new building construction and renovation projects found on the web at www.rsmeans.com.

Reserve Advisors' library of numerous periodicals relating to reserve studies, condition analyses, chapter community associations, and historical costs from thousands of capital repair and replacement projects, and product literature from manufacturers of building products and building systems.

7. DEFINITIONS

Definitions are derived from the standards set forth by the Community Associations Institute (CAI) representing America's 305,000 condominium and homeowners associations and cooperatives, and the Association of Professional Reserve Analysts, setting the standards of care for reserve study practitioners.

Cash Flow Method - A method of calculating Reserve Contributions where contributions to the reserve fund are designed to offset the variable annual expenditures from the reserve fund. Different Reserve Funding Plans are tested against the anticipated schedule of reserve expenses until the desired funding goal is achieved.

Component Method - A method of developing a Reserve Funding Plan with the total contribution is based on the sum of the contributions for individual components.

Current Cost of Replacement - That amount required today derived from the quantity of a *Reserve Component* and its unit cost to replace or repair a Reserve Component using the most current technology and construction materials, duplicating the productive utility of the existing property at current *local* market prices for *materials*, *labor* and manufactured equipment, contractors' overhead, profit and fees, but without provisions for building permits, overtime, bonuses for labor or premiums for material and equipment. We include removal and disposal costs where applicable.

Fully Funded Balance - The Reserve balance that is in direct proportion to the fraction of life "used up" of the current Repair or Replacement cost similar to Total Accrued Depreciation.

Funding Goal (Threshold) - The stated purpose of this Reserve Study is to determine the adequate, not excessive, minimal threshold reserve balances.

Future Cost of Replacement - *Reserve Expenditure* derived from the inflated current cost of replacement or current cost of replacement as defined above, with consideration given to the effects of inflation on local market rates for materials, labor and equipment.

Long-Lived Property Component - Property component of Coolfont responsibility not likely to require capital repair or replacement during the next 30 years with an unpredictable remaining Useful Life beyond the next 30 years.

Percent Funded - The ratio, at a particular point of time (typically the beginning of the Fiscal Year), of the actual (or projected) Reserve Balance to the Fully Funded Balance, expressed as a percentage.

Remaining Useful Life - The estimated remaining functional or useful time in years of a *Reserve Component* based on its age, condition and maintenance.

Reserve Component - Property elements with: 1) Coolfont responsibility; 2) limited Useful Life expectancies; 3) predictable Remaining Useful Life expectancies; and 4) a replacement cost above a minimum threshold.

Reserve Component Inventory - Line Items in ***Reserve Expenditures*** that identify a *Reserve Component*.

Reserve Contribution - An amount of money set aside or *Reserve Assessment* contributed to a *Reserve Fund* for future *Reserve Expenditures* to repair or replace *Reserve Components*.

Reserve Expenditure - Future Cost of Replacement of a Reserve Component.

Reserve Fund Status - The accumulated amount of reserves in dollars at a given point in time, i.e., at year end.

Reserve Funding Plan - The portion of the Reserve Study identifying the *Cash Flow Analysis* and containing the recommended Reserve Contributions and projected annual expenditures, interest earned and reserve balances.

Reserve Study - A budget planning tool that identifies the current status of the reserve fund and a stable and equitable Funding Plan to offset the anticipated future major common area expenditures.

Useful Life - The anticipated total time in years that a *Reserve Component* is expected to serve its intended function in its present application or installation.

8. PROFESSIONAL SERVICE CONDITIONS

Our Services - Reserve Advisors, LLC ("RA") performs its services as an independent contractor in accordance with our professional practice standards and its compensation is not contingent upon our conclusions. The purpose of our reserve study is to provide a budget planning tool that identifies the current status of the reserve fund, and an opinion recommending an annual funding plan, to create reserves for anticipated future replacement expenditures of the subject property. The purpose of our energy benchmarking services is to track, collect and summarize the subject property's energy consumption over time for your use in comparison with other buildings of similar size and establishing a performance baseline for your planning of long-term energy efficiency goals.

Our inspection and analysis of the subject property is limited to visual observations, is noninvasive and is not meant to nor does it include investigation into statutory, regulatory or code compliance. RA inspects sloped roofs from the ground and inspects flat roofs where safe access (stairs or ladder permanently attached to the structure) is available. Our energy benchmarking services with respect to the subject property is limited to collecting energy and utility data and summarizing such data in the form of an Energy Star Portfolio Manager Report or any other similar report, and hereby expressly excludes any recommendations with respect to the results of such energy benchmarking services or the accuracy of the energy information obtained from utility companies and other third-party sources with respect to the subject property. The reserve report and any energy benchmarking report (i.e., any Energy Star Portfolio Manager Report) (including any subsequent revisions thereto pursuant to the terms hereof, collectively, the "Report") are based upon a "snapshot in time" at the moment of inspection. RA may note visible physical defects in the Report. The inspection is made by employees generally familiar with real estate and building construction. Except to the extent readily apparent to RA, RA cannot and shall not opine on the structural integrity of or other physical defects in the property under any circumstances. Without limitation to the foregoing, RA cannot and shall not opine on, nor is RA responsible for, the property's conformity to specific governmental code requirements for fire, building, earthquake, occupancy or otherwise.

RA is not responsible for conditions that have changed between the time of inspection and the issuance of the Report. RA does not provide invasive testing on any mechanical systems that provide energy to the property, nor can RA opine on any system components that are not easily accessible during the inspection. RA does not investigate, nor assume any responsibility for any existence or impact of any hazardous materials, such as asbestos, urea-formaldehyde foam insulation, other chemicals, toxic wastes, environmental mold or other potentially hazardous materials or structural defects that are latent or hidden defects which may or may not be present on or within the property. RA does not make any soil analysis or geological study as part of its services, nor does RA investigate vapor, water, oil, gas, coal, or other subsurface mineral and use rights or such hidden conditions, and RA assumes no responsibility for any such conditions. The Report contains opinions of estimated replacement costs or deferred maintenance expenses and remaining useful lives, which are neither a guarantee of the actual costs or expenses of replacement or deferred maintenance nor a guarantee of remaining useful lives of any property element.

RA assumes, without independent verification, the accuracy of all data provided to it. Except to the extent resulting from RA's willful misconduct in connection with the performance of its obligations under this agreement, you agree to indemnify, defend, and hold RA and its affiliates, officers, managers, employees, agents, successors and assigns (each, an "RA Party") harmless from and against (and promptly reimburse each RA Party for) any and all losses, claims, actions, demands, judgments, orders, damages, expenses or liabilities, including, without limitation, reasonable attorneys' fees, asserted against or to which any RA Party may become subject in connection with this engagement, including, without limitation, as a result of any false, misleading or incomplete information which RA relied upon that was supplied by you or others under your direction, or which may result from any improper use or reliance on the Report by you or third parties under your control or direction or to whom you provided the Report. NOTWITHSTANDING ANY OTHER PROVISION HEREIN TO THE CONTRARY, THE AGGREGATE LIABILITY (IF ANY) OF RA WITH RESPECT TO THIS AGREEMENT AND RA'S OBLIGATIONS HEREUNDER IS LIMITED TO THE AMOUNT OF THE FEES ACTUALLY RECEIVED BY RA FROM YOU FOR THE SERVICES AND REPORT PERFORMED BY RA UNDER THIS AGREEMENT, WHETHER ARISING IN CONTRACT, TORT (INCLUDING NEGLIGENCE), STRICT LIABILITY OR OTHERWISE. YOUR REMEDIES SET FORTH HEREIN ARE EXCLUSIVE AND ARE YOUR SOLE REMEDIES FOR ANY FAILURE OF RA TO COMPLY WITH ITS OBLIGATIONS HEREUNDER OR OTHERWISE. RA SHALL NOT BE LIABLE FOR ANY SPECIAL, INDIRECT, INCIDENTAL, CONSEQUENTIAL, PUNITIVE OR EXEMPLARY DAMAGES OF ANY KIND, INCLUDING, BUT NOT LIMITED TO, ANY LOST PROFITS AND LOST SAVINGS, LOSS OF USE OR INTERRUPTION OF BUSINESS, HOWEVER CAUSED, WHETHER ARISING IN CONTRACT, TORT (INCLUDING NEGLIGENCE), BREACH OF WARRANTY, STRICT LIABILITY OR OTHERWISE, EVEN IF RA HAS BEEN ADVISED OF THE POSSIBILITY OF SUCH DAMAGES. IN NO EVENT WILL RA BE LIABLE FOR THE COST OF PROCUREMENT OF SUBSTITUTE GOODS OR SERVICES. RA DISCLAIMS ALL REPRESENTATIONS AND WARRANTIES WHATSOEVER, EXPRESS OR IMPLIED OR OF ANY NATURE, WITH REGARD TO THE SERVICES AND THE REPORT, INCLUDING, WITHOUT LIMITATION, MERCHANTABILITY OR FITNESS FOR A PARTICULAR PURPOSE.

Report - RA will complete the services in accordance with the Proposal. The Report represents a valid opinion of RA's findings and recommendations with respect to the reserve study and is deemed complete. RA will consider any additional information made available to RA within 6 months of issuing the Report and issue a revised Report based on such additional information if a timely request for a revised Report is made by you. RA retains the right to withhold a revised Report if payment for services was not tendered in a timely manner. All information received by RA and all files, work papers or documents developed by RA during the course of the engagement shall remain the property of

RA and may be used for whatever purpose it sees fit. RA reserves the right to, and you acknowledge and agree that RA may, use any data provided by you in connection with the services, or gathered as a result of providing such services, including in connection with creating and issuing any Report, in a de-identified and aggregated form for RA's business purposes.

Your Obligations - You agree to provide us access to the subject property for an inspection. You agree to provide RA all available, historical and budgetary information, the governing documents, and other information that we request and deem necessary to complete the Report. Additionally, you agree to provide historical replacement schedules, utility bills and historical energy usage files that RA requests and deems necessary to complete the energy benchmarking services, and you agree to provide any utility release(s) reasonably requested by RA permitting RA to obtain any such data and/or information from any utility representative or other third party. You agree to pay actual attorneys' fees and any other costs incurred to collect on any unpaid balance for RA's services.

Use of Our Report and Your Name - Use of the Report is limited to only the purpose stated herein. You acknowledge that RA is the exclusive owner of all intellectual property rights in and relating to the Report. You hereby acknowledge that any use or reliance by you on the Report for any unauthorized purpose is at your own risk and that you will be liable for the consequences of any unauthorized use or distribution of the Report. Use or possession of the Report by any unauthorized third party is prohibited. The Report in whole or in part ***is not and cannot be*** *used as a design specification for design engineering purposes or as an appraisal*. You may show the Report in its entirety to the following third parties: members of your organization (including your directors, officers, tenants and prospective purchasers), your accountants, attorneys, financial institutions and property managers who need to review the information contained herein, and any other third party who has a right to inspect the Report under applicable law including, but not limited, to any government entity or agency, or any utility companies. Without the written consent of RA, you shall not disclose the Report to any other third party. By engaging our services, you agree that the Report contains intellectual property developed (and owned solely) by RA and agree that you will not reproduce or distribute the Report ***to any party that conducts reserve studies without the written consent of RA***.

RA will include (and you hereby agree that RA may include) your name in our client lists. RA reserves the right to use (and you hereby agree that RA may use) property information to obtain estimates of replacement costs, useful life of property elements or otherwise as RA, in its sole discretion, deems appropriate.

Payment Terms, Due Dates and Interest Charges - If reserve study and energy benchmarking services are performed by RA, then the retainer payment is due upon execution of this agreement and prior to the inspection by RA, and any balance is due net 30 days from the Report shipment date. If only energy benchmarking services are performed by RA, then the retainer payment is due upon execution of this agreement and any balance is due net 30 days from the Report shipment date. In any case, any balance remaining 30 days after delivery of the Report shall accrue an interest charge of 1.5% per month. Unless this agreement is earlier terminated by RA in the event you breach or otherwise fail to comply with your obligations under this agreement, RA's obligations under this agreement shall commence on the date you execute and deliver this agreement and terminate on the date that is 6 months from the date of delivery of the Report by RA. Notwithstanding anything herein to the contrary, each provision that by its context and nature should survive the expiration or early termination of this agreement shall so survive, including, without limitation, any provisions with respect to payment, intellectual property rights, limitations of liability and governing law. We reserve the right to limit or decline refunds in our sole discretion. Refunds vary based on the applicable facts and circumstances.

Miscellaneous – Neither party shall be liable for any failures or delays in performance due to fire, flood, strike or other labor difficulty, act of God, act of any governmental authority, riot, embargo, fuel or energy shortage, pandemic, wrecks or delays in transportation, or due to any other cause beyond such party's reasonable control; provided, however, that you shall not be relieved from your obligations to make any payment(s) to RA as and when due hereunder. In the event of a delay in performance due to any such cause, the time for completion or date of delivery will be extended by a period of time reasonably necessary to overcome the effect of such delay. You may not assign or otherwise transfer this agreement, in whole or in part, without the prior written consent of RA. RA may freely assign or otherwise transfer this agreement, in whole or in part, without your prior consent. This agreement shall be governed by the laws of the State of Wisconsin without regard to any principles of conflicts of law that would apply the laws of another jurisdiction. Any dispute with respect to this agreement shall be exclusively venued in Milwaukee County Circuit Court or in the United States District Court for the Eastern District of Wisconsin. Each party hereto agrees and hereby waives the right to a trial by jury in any action, proceeding or claim brought by or on behalf of the parties hereto with respect to any matter related to this agreement.